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Trump-Era Tariffs and Cross-Border M&A: A Causal Analysis of Deal Volume, Premium, Completion, and Payment Structure in U.S. Manufacturing

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Preface

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Abstract

This thesis investigates how the Trump-era steel and aluminum tariffs, imposed under Section 232¹ of U.S. trade law, affected cross-border M&A activity in the U.S. manufacturing sector. Using a comprehensive dataset of over 17,142 U.S.-involved M&A deals between 2014 and 2022, it examines whether these tariffs influenced four key deal outcomes: deal premiums, deal completion (withdrawals), payment structure, and overall deal volume. The analysis leverages variation in tariff exposure across countries and time, applying a difference-in-differences approach to compare outcomes before and after the tariffs. Cross-border deals became significantly smaller in value after the tariffs and were more likely to be withdrawn than comparable domestic deals. Additionally, tariff-induced uncertainty impacted financing choices: tariff-exposed acquisitions were more often financed with stock rather than cash, as acquirers sought to share risk and preserve liquidity under heightened uncertainty. For deal volume, there was no significant results. Only, U.S. based firms acquired more European firms during the tariffs. Still, these results suggest the tariffs acted as a deterrent to international deal-making, reinforcing the idea that protectionist trade policies can discourage cross-border investment. The study provides new empirical evidence that such trade barriers can reshape firm behavior, reducing cross-border capital flows. It offers practical insights for business leaders considering international acquisitions and for policymakers evaluating the broader economic effects of tariff policies.

¹ Section 232 refers to tariffs imposed under the Trade Expansion Act of 1962 on national security grounds, targeting steel (25%) and aluminum (10%) imports.

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Introduction

Mergers and Acquisitions (M&A) are a vital tool for companies to expand operations domestically or into new markets. They play a crucial role in shaping the global economy and remain a core mechanism for both corporate growth and international capital allocation (Calipha et al., 2010). Following a record-breaking surge in deal activity in 2021, with total M&A volume reaching \$5.8 trillion, the market saw a sharp decline to \$3 trillion in 2023, driven by rising geopolitical tensions and growing trade protectionism (Thomson Reuters, 2024). This raises the question of how specific trade-policy shocks like tariffs impact M&A activity. Despite this downturn, M&A remains a strategic priority, especially for manufacturing firms exposed to international trade. As new trade barriers reshape cross-border investment decisions, understanding their impact on M&A has become increasingly relevant for both scholars and practitioners. M&A supports corporate growth, market expansion, and international capital flows. Through acquisitions, firms gain rapid access to new markets, supply chains, and technologies while realizing economies of scale (Erel et al., 2012; Rossi & Volpin, 2004). Over the past two decades, cross-border M&A has become a hallmark of globalization, representing more than one-third of global deal volume (UNCTAD, 2021). Given their macroeconomic importance, understanding how protectionist shocks influence M&A is increasingly critical.

Trade policy directly shapes firms' cross-border investment decisions by altering relative costs, strategic risks, and long-term expectations (Blonigen, 2001; Caldara et al., 2020). Tariffs, taxes on imports aimed at protecting domestic industries, are a key instrument of trade policy (Amiti et al., 2019). The Trump Administration's 2018–2019 tariffs, including 25% duties on steel and 10% on aluminum (Section 232² tariffs) on their key trading partners, and a range of tariffs on Chinese imports (Section 301³), marked a sharp return to protectionism in a period of relative trade liberalization (Caldara et al., 2020). These measures were imposed with little warning, affecting a wide range of industries, particularly U.S. manufacturing (Cox, 2021; Flaaen & Pierce, 2019).

Empirical studies show that these tariffs raised input costs for U.S. manufacturers, reduced investment and employment, and led to net welfare losses for both consumers and producers

² See reference 1

³ Section 301 refers to tariffs implemented under the Trade Act of 1974 in response to unfair trade practices, mainly targeting a wide range of Chinese goods.

(Amiti et al., 2019; Flaaen & Pierce, 2019). Persistent exposure to such shocks can weaken firm performance and suppress strategic M&A activity, especially in trade-intensive sectors like the manufacturing sector (Caldara et al., 2020; Gregoriou et al., 2021).

Within the academic literature, two competing mechanisms explain how tariffs might influence M&A behavior. The first is the investment deterrence hypothesis. Under this view, tariffs introduce cost shocks and policy unpredictability, increasing the real option value of waiting (Bloom, 2009). When firms face heightened uncertainty, they often postpone irreversible investments, including acquisitions (Baker et al., 2016; Bonaime et al., 2018). This deterrent effect tends to be stronger for cross-border M&A, which involves greater complexity and longer planning horizons than domestic transactions (Cao et al., 2017; Nguyen & Phan, 2017). During the 2018–2019 U.S.–China trade war, firms reported difficulty forecasting post-deal profitability, leading many to scale down or delay acquisitions (Cox, 2021; Gabel, 2018). Furthermore, trade policy uncertainty (TPU), as measured by Caldara et al. (2020), spiked sharply during this period and was associated with declines in capital expenditures and long-term investment. These findings suggest that protectionist shocks like the Trump tariffs may decrease M&A activity by increasing uncertainty and perceived risk.

Alternatively, the tariff-jumping hypothesis, suggests that some firms may respond not by retreating but by expanding internationally through M&A to bypass trade barriers (Bhagwati & Irwin, 1987). In this framework, cross-border acquisitions serve as a substitute for exports: rather than shipping goods into a tariffed market, firms acquire foreign targets to produce and sell locally. This theory is particularly relevant for Europe and China, as both regions implemented retaliatory tariffs (Amiti et al., 2019). The jumping behavior was observed during the U.S.–China trade conflict, when Chinese firms increasingly pursued U.S. assets to maintain market access and protect revenue streams (Xie, 2023). By shifting value-added activities to the U.S., these firms effectively “jumped” the tariffs. However, the effectiveness of such strategies depends on factors like country of origin, sector exposure, and deal characteristics (Cao et al., 2017; Xie, 2023).

Despite growing attention to these mechanisms, a significant empirical gap remains. Existing research primarily investigates the effects of tariffs on aggregate foreign direct investment (FDI⁴), stock price reactions, or export dynamics (Amiti et al., 2019; Caldara et al., 2020). To the

⁴ FDI refers to cross-border investments made by a firm or individual into business interests located in another country.

best of my knowledge, no study has systematically examined how the Trump-era tariffs affected cross-border M&A involving U.S. manufacturing firms. This thesis addresses that gap by providing a causal analysis using a difference-in-differences approach, grounded in detailed firm-, country-, and deal-level data.

Research Question: *How did the Trump-era steel and aluminum tariffs impact cross-border M&A activity by U.S. manufacturing firms?*

While prior research has examined tariff effects on exports, and investment (Amiti et al., 2019; Caldara et al., 2020), little is known about their impact on firm-level acquisition behavior. This thesis extends insights from work on economic policy uncertainty and M&A (Bonaime et al., 2018; Gregoriou et al., 2021) to the context of trade shocks, focusing on U.S. manufacturing acquirers and strategic responses to policy interventions. By providing causal evidence on how targeted tariffs affect cross-border M&A, this study contributes to the academic literature on trade policy and firm investment. Practically, understanding how firms adjust cross-border M&A in response to tariffs offers insights for corporate strategies. Investors can better assess risks from political decisions in globally integrated industries, while policymakers gain perspective on how protectionist trade actions influence capital flows and industrial competitiveness.

To answer the research question, the study examines four key M&A characteristics: deal premium, deal withdrawal, payment method, and deal count. These serve as observable signals of firms' strategic adjustments under external shocks. Deal premium reflects the markup an acquirer pays over the target's market value, capturing expected synergies and deal confidence. Under uncertainty, firms typically offer lower premiums to mitigate valuation risk (Bonaime et al., 2018; Nguyen & Phan, 2017). In stable conditions, premiums rise as acquirers are more willing to pay for strategic control (Nguyen & Phan, 2017; Officer, 2003). Deal withdrawal, the cancellation of an announced M&A transaction, may increase when tariffs raise negotiation frictions or regulatory barriers (Bonaime et al., 2018; Gregoriou et al., 2021). Payment method, particularly the use of stock versus cash, acts as a signal of managerial confidence. While cash offers a stronger commitment and simpler valuation, stock-only payments may increase in riskier contexts or when acquirers seek to preserve liquidity (Faccio & Masulis, 2005; Sha et al., 2020). Finally, deal count captures the frequency of M&A transactions and reflects the broader volume response of firms to policy uncertainty, often declining when barriers to cross-border activity increase (Cao et al., 2017; Erel et al., 2012).

To empirically test these channels, the thesis uses a difference-in-differences (DiD) framework, exploiting the policy discontinuity created by the Trump administration's steel and aluminum tariffs. The treatment variable is a binary post-Tariff indicator, equal to 1 if a deal was announced on or after March 8, 2018 until the date the tariffs were imposed, and 0 otherwise. This variable is interacted with a cross-border deal type indicator, where a U.S. acquiror targets a foreign firm to implement a DiD design, with domestic deals acting as an additional benchmark group, allowing for isolation of the causal effect of tariffs (Caldara et al., 2020 ; Cox, 2021).

Following previous literature and data availability, the analysis draws on a dataset of 17,142 cross-border M&A transactions between 2014 and 2022, with firm- and deal-level information sourced from Refinitiv SDC Platinum and Compustat, macroeconomic controls from the World Bank and Federal Reserve databases, and tariff levels from U.S. International Trade Commission (USITC). The empirical framework applies OLS regressions for deal premium, logistic models for withdrawal and payment method, and Poisson and negative binomial regressions for deal count. This design allows for a robust test of strategic responses across multiple M&A dimensions. The findings provide support for the investment deterrence hypothesis, cross-border deals post-tariff exhibit significantly lower deal premiums, a higher probability of withdrawal, and a greater use of stock as a payment method compared to U.S. domestic deals, indicative of heightened risk aversion, valuation uncertainty, and liquidity preservation. Interestingly, the results for deal count show no overall decline, and even an increase in U.S. outbound deal activity toward Europe, and when lagging tariff exposure by one year, China saw an increase as well. Suggesting that firms may have responded differently depending on region. This nuanced outcome invites further research on geographic asymmetries in how firms perceive and respond to trade barriers.

The remainder of this thesis is structured as follows: Chapter 2 reviews the literature and develops the hypotheses. Chapter 3 describes the data and methodology. Chapter 4 presents the results, and Chapter 5 discusses implications and concludes.

Literature Review

This section reviews key literature on how tariffs influence cross-border M&A, combining theoretical foundations with empirical findings from prior studies. It begins by surveying global M&A trends, then discusses the main drivers of cross-border acquisitions identified in earlier research. The final part explores how tariffs function as policy shocks and introduces relevant theoretical perspectives on their impact on international investment decisions.

2.1 The Global Relevance of M&A

A Merger and Acquisition (M&A) is a situation in which at least two firms join a least a part of or all of their operations. The primary goal of M&A is to generate value for the acquiring firm's shareholders by creating a combined entity that is worth more in absolute terms than the individual companies were prior to the deal (Calipha et al., 2010). While M&A activity is not without risk, it has become an increasingly popular tool for corporate development, particularly during expansion phases following economic downturns (Harford, 2005). According to LSEG (2023), global M&A volume peaked at \$5.8 trillion in 2021 before falling to \$3 trillion in 2023, a decline widely linked to rising geopolitical tensions and macroeconomic uncertainty (Henry & van Oostende, 2024). In fact, the M&A volume in 2021 alone was over three times the value of global FDI⁵ flows in that year (UNCTAD, 2022). As Erel et al. (2012) note, cross-border M&A has become the dominant mechanism for international capital reallocation. Supporting this, Cao et al. (2017) report that cross-border deals grew from 21% of global M&A in 1990 to 37% by 2014.

Among the sectors driving this activity, manufacturing consistently ranks among the top five in both deal volume and value (IMAA, 2023). This trend is particularly pronounced in cross-border transactions. For example, Cao et al. (2017) show that manufacturing is one of the most frequently targeted sectors in inbound cross-border M&A. These patterns highlight the importance of M&A as a corporate strategy, and they motivate researchers to explore which factors influence M&A activity and outcomes.

2.2 The Global Relevance of Cross-Border M&A

Cross-border M&A involves a parent company from one country purchasing equity of a target company located in another country (Xie, 2023). Therefore, cross-border deals are exposed

⁵ See reference 4

to both target and acquiror country economic conditions, whereas domestic acquisitions are only affected by conditions within the home country. According to Erel et al. (2012), one of the most widely respected studies in cross-border M&A literature, globalization and financial market integration have significantly increased the volume of international deal activity. Similarly, Harford (2005) highlights how economic expansions and capital liquidity have historically driven surges in M&A activity. Together, these developments have enabled firms to enter new markets, diversify internationally, and pursue growth beyond domestic borders. Reflecting this trend, the share of cross-border deals increased from 21% to 37% of total global M&A volume between 1996 and 2014 (Cao et al., 2017). In absolute terms, cross-border M&A value reached a record \$1.7 trillion in 2021, marking a post-pandemic surge in international deal-making (Refinitiv, 2023). However, this momentum cooled in 2022, with deal value declining to \$1.6 trillion, driven by rising global uncertainty and higher interest rates.

Against this global backdrop, the United States has consistently remained the most active M&A market, both in outbound and inbound deal flows (Refinitiv, 2025). In the context of cross-border M&A, inbound deals refer to foreign firms acquiring domestic targets, while outbound deals involve domestic firms acquiring foreign targets (Erel et al., 2012). In particular, outbound M&A where U.S. based firms acquire cross-border firms within manufacturing-intensive economies such as the United Kingdom, China, and Germany (LSEG, 2024). This pattern is especially relevant given the manufacturing sector's strategic exposure to trade policies like tariffs. This sustained level of cross-border M&A activity has motivated scholars to examine the drivers behind international deal flows, a topic explored in the following section.

2.3 Determinants of Cross-Border M&A Activity

A rich body of literature identifies firm-, deal-, and country-specific determinants of cross-border M&A (Cao et al., 2017; Rossi & Volpin, 2004). Prior research shows that cross-border deals often span different ownership structures and regulatory environments, making it essential to control for both microeconomic and macroeconomic variables (Nguyen & Phan, 2017).

At the firm level, acquirer characteristics strongly influence cross-border M&A outcomes. Key factors include firm size, cash, leverage, and the market-to-book (M/B) ratio reflecting growth opportunities (Erel et al., 2012; Gregoriou et al., 2021). Larger firms with greater liquidity and moderate leverage are better positioned to finance acquisitions and absorb external shocks, making

them more active in cross-border deal-making (Gregoriou et al., 2021). High liquidity provides internal financing capacity, while reasonable debt levels ensure borrowing flexibility (Erel et al., 2012). A higher M/B ratio may also encourage acquirers to use stock as payment method, supporting larger or more frequent acquisitions (Officer, 2003). These advantages are particularly important in manufacturing industries, where earnings volatility is high due to global supply chain integration and exposure to input cost fluctuations. The U.S. manufacturing sector's sensitivity to trade policy and its heavy reliance on international supply chains, present a compelling case to study how firm strength interacts with cross-border M&A behavior (Cao et al., 2017; Cox, 2021).

Deal-specific characteristics also shape cross-border M&A dynamics. One of the most prominent determinants is the ownership status of the target firm. According to the managerial motive theory, the integration of a public company requires more time, coordination, and transparency, making such deals more complex to execute (Draper & Paudyal, 2006). In contrast, private firms, subsidiaries, and joint ventures are more frequently targeted in cross-border settings due to fewer disclosure obligations and more flexible deal structuring (Bonaime et al., 2018). Another important factor is deal orientation, as tender offers, especially hostile ones are less common in cross-border M&A due to their complexity and the need for additional protections such as termination fees (Officer, 2003). In addition, whether a deal is diversifying, affects acquisition outcomes. Diversifying deals are more complex and riskier, especially across borders, as they involve entering unfamiliar markets or industries (Bonaime et al., 2018). The influence of policy uncertainty on diversification has also been found to be stronger in countercyclical industries, where firms are more sensitive to external shocks. This underscores the importance of accounting for industry context when analyzing M&A behavior under uncertainty (Nguyen & Phan, 2017). Deal value also serves as a key determinant, with larger transaction sizes often associated with increased complexity, and signaling effects in cross-border contexts (Cao et al., 2017).

Country-level conditions play a decisive role in shaping M&A attractiveness. GDP growth and GDP per capita serve as proxies for market size and development level, which influence the strategic rationale for acquiring firms in a particular region (Erel et al., 2012; Rossi & Volpin, 2004). Inflation is known for macroeconomic stability, as high inflation increases the uncertainty of future cash flows and can deter investment (Cao et al., 2017). Exchange rate movements affect relative valuations and influence the timing of cross-border activity, U.S. firms are more likely to acquire abroad when the dollar is strong (Cao et al., 2017). Interest rate differentials between the

target and U.S. market capture differences in capital costs and monetary policy, which influence the comparative ease of financing acquisitions (Erel et al., 2012).

Policy uncertainty and institutional quality are also critical. High levels of economic policy uncertainty (EPU), as measured by Baker et al. (2016), are associated with a decline in M&A activity, as firms delay or cancel deals due to unpredictable regulatory or fiscal environments (Bonaime et al., 2018; Gregoriou et al., 2021). Bonaime et al. (2018) document a 6.6% decline in total M&A value during periods of high EPU, reflecting firms' greater caution during uncertain policy environments. Lastly, institutional quality, encompassing rule of law, regulatory standards, and governance effectiveness affects acquirer confidence in legal enforcement and contract execution, thereby influencing cross-border deal activity (Rossi & Volpin, 2004; Erel et al., 2012).

Overall, this body of literature has identified numerous factors on cross-border M&A. Besides, academics and practitioners who examined these determinants, there are also several theories engaged with the influence of uncertainty and specifically tariffs on cross border M&A. This study builds on the following two theories; investment deterrence hypothesis, and Tariff-jumping hypothesis, which will be discussed in the next section. The U.S. Section 232 tariffs offer a clear case to examine these theories, particularly within the manufacturing sector where firms are highly exposed to global supply chains and policy shifts (Flaaen & Pierce, 2019; Xie, 2023).

2.3 Tariffs as a distinct Policy Shock to M&A: Evidence and Theory

Unlike broader policy uncertainty, tariffs introduce immediate and measurable price distortions, making them a powerful tool through which to study the impact of trade policy on M&A. Tariffs are government-imposed taxes on imports, typically used to regulate trade flows, protect domestic industries, or respond to geopolitical pressures (Flaaen & Pierce, 2019). They influence corporate investment by raising input costs, disrupting supply chains, and prompting retaliatory measures that complicate cross-border economic activity (Amiti et al., 2019).

The Trump administration's steel and aluminum tariffs represent a clear policy shock, as they were implemented abruptly, targeted specific sectors, and were largely unanticipated by firms and investors (Amiti et al., 2019; Flaaen & Pierce, 2019). Designed to protect domestic manufacturing, these measures raised input costs across supply chains, especially in steel-intensive sectors. Amiti et al. (2019) and Flaaen & Pierce (2019) provide compelling evidence that these tariffs led to reduced employment and 1.1% higher input costs. Moreover, these measures led to global trade tensions, disrupted supply chains, and counter measures from major partners including

China, the European Union, Mexico and Canada (Lee & Khan, 2025). Canada and European Union implemented similar tariffs on the U.S. during the same period, and China even became engaged in a trade war with the U.S. (Morgan et al., 2022). An overview of all implemented tariffs is provided in Appendix 5. The Section 232 tariffs thus offer a compelling empirical setting to examine how trade uncertainty affects firm behavior in manufacturing, where global supply chains are deeply embedded and investment decisions are highly sensitive to external shocks, particularly given that a second Trump administration is once again imposing tariffs (Matthíasson, 2025). This relevance is further underscored by historical views, Cox (2021) finds that the 2002 steel tariffs⁶ caused long-lasting harm to U.S. downstream industries, as supply chain disruptions persisted even after the tariffs were lifted. This likely reduced firms' appetite for foreign acquisitions, making U.S. acquirers more inclined to pursue domestic targets during periods of trade protectionism.

From a theoretical standpoint, two contrasting perspectives help explain how tariffs influence cross-border M&A decisions: the investment deterrence hypothesis and the tariff-jumping hypothesis. The investment deterrence view suggests that firms may delay or avoid investments like M&A when tariffs raise costs and increase uncertainty (Baker et al., 2016; Bloom, 2009). Flaaen & Pierce (2019) and Amiti et al. (2019), show that economic policy uncertainty (EPU) reduced capital spending and output in U.S. manufacturing, implying a broader slowdown in expansion activities including cross-border acquisitions. When tariffs raise the cost of imported inputs, profit margins shrink and firms become more risk-averse particularly when facing long-term capital commitments like M&A (Cox, 2021; Gregoriou et al., 2021).

On the other hand, the tariff-jumping hypothesis argues that some firms may respond to trade barriers by acquiring local firms to 'jump' over these import duties. Blonigen (2001) found that foreign firms often used FDI⁷ to avoid U.S. trade barriers, while Hijzen et al. (2008) showed that higher trade costs led to more cross-border M&A, especially in horizontal mergers. More recently, Xie (2023) found that as tariffs increased export costs, many Chinese firms responded by acquiring U.S. companies. This allowed them to continue selling in the U.S. market without paying the tariffs, essentially 'jumping' the trade barrier. In response to section 232 tariffs, Canada, EU, and China implemented retaliatory measures against U.S. goods, many of which targeted manufacturing sectors, as detailed in Appendix 5. According to the tariff-jumping logic, U.S. firms

⁶ In March 2002, President Bush imposed tariffs of between 10 and 30 percent on over 170 steel products.

⁷ See reference 4

might therefore have been motivated to acquire companies in these regions to preserve market access and avoid facing retaliatory duties. This mechanism is particularly relevant when analyzing U.S. outbound M&A flows toward these specific trading partners, especially Canada and China, where retaliatory tariffs were highest (WTO, 2020).

Altogether, this literature suggests that in uncertain policy environments, firms are more likely to postpone, scale down, or abandon M&A activity especially in sectors highly exposed to external shocks. While prior research has examined how tariffs affect exports, production, and overall investment levels (Caldara et al., 2020 ; Flaaen & Pierce, 2019), their influence on cross-border M&A behavior remains largely underexplored. Existing M&A studies focus on institutional quality, macroeconomic conditions, and policy uncertainty more broadly, but do not isolate the effect of specific trade policy interventions (Cao et al., 2017; Erel et al., 2012).

This thesis addresses that gap by providing a targeted empirical analysis of how the Trump-era tariffs shaped M&A deal premium, completion rates, payment method, and cross-border volume. The next section outlines the key hypotheses and explains how these will be tested using detailed firm- and deal-level data.

2.4 Hypotheses Development

Based on the theoretical background above, four sets of hypotheses are developed to guide the empirical analysis. Each set corresponds to a potential effect of the Section 232 tariffs on cross-border M&A by U.S. manufacturing firms. These hypotheses synthesize prior research expectations (from Sections 2.1–2.3) and modify them to the context of a sudden trade policy shock. Below, each of these hypotheses is explained and formally stated.

2.4.1 Deal premium Effects

Tariff-induced uncertainty can directly reduce the valuations that acquirers assign to foreign targets, thereby lowering the premium they are willing to pay in cross-border deals (Gregoriou et al., 2021). When policy uncertainty rises, acquiring firms become more cautious in their bidding, reflecting the higher option value of waiting and the risk of overpaying for synergies that may not materialize (Gregoriou et al., 2021). Empirical studies on M&A support this sensible behavior: during periods of elevated uncertainty, acquirers tend to offer significantly smaller deal premiums as a way to mitigate valuation risk (Bonaime et al., 2018; Nguyen & Phan, 2017). This effect is especially pronounced in cross-border transactions, which carry greater information

asymmetry and integration challenges, making deal pricing more sensitive to external risks (Gregoriou et al., 2021; Nguyen & Phan, 2017). By extension, the introduction of the 2018 tariffs likely eroded U.S. acquirers' confidence in future cross-border synergies. Facing new import cost risks and potential retaliatory measures, U.S. manufacturing firms would rationally factor this uncertainty into deal valuations, offering lower premiums for targets in tariff-affected countries compared to similar domestic deals in the same period. Thus, the hypothesis is:

H1: Tariffs reduced the premium paid for cross-border M&A deals made by U.S. manufacturing firms in countries affected by the tariff.

2.4.2 Deal Completion Effect

While tariffs are primarily intended to protect domestic industries, they often create frictions in international deal-making by increasing regulatory complexity, integration risk, and valuation uncertainty (Flaen & Pierce, 2019; Gregoriou et al., 2021). These conditions raise the likelihood of deal withdrawal, especially in cross-border settings where geopolitical or institutional instability is present (Bonaime et al., 2018). Moreover, Lim and Lee (2017) show that deal cancellations are more common when acquirers from developed economies target politically unstable or institutionally weak regions, a pattern amplified in cross-border contexts due to regulatory and cultural frictions. Given the U.S. manufacturing sector's global supply chain exposure and capital intensity, similar dynamics are likely to apply. Gregoriou et al. (2021) further find that rising policy uncertainty increases withdrawal rates, as firms reconsider deals amid heightened financial risk and valuation volatility, conditions that would only be intensified during a tariff-induced trade conflict. In the context of the Trump-era tariffs, which were characterized by heightened cost volatility and geopolitical tension, U.S. acquirers likely adjusted their financing strategies accordingly. While such trade frictions do not always prevent firms from initiating M&A, they often disrupt deal completion by increasing the likelihood of withdrawal or cancellation.

H2: Tariffs increased the likelihood of U.S. manufacturing firms withdrawing from cross-border M&A deals

2.4.3 Payment Structure Effects

Tariff-induced uncertainty does not only impact deal volume and completion, but also changes how transactions are structured. Specifically, trade frictions can shift firms' payment preferences in cross-border M&A toward structures that hedge against valuation risk and liquidity

constraints (Gregoriou et al., 2021). In uncertain environments, acquirers tend to favor stock-based deals, which share risk with the target and avoid large upfront cash outflows. In contrast, cash deals are more common in stable settings, where valuation is clearer and confidence in integration outcomes is higher (Gregoriou et al., 2021; Hansen, 1987). Gregoriou et al. (2021) find that EPU increases the use of 100% stock deals, especially in cross-border contexts with high information asymmetry. Similarly, Sha et al. (2020) show that rising uncertainty lowers the likelihood of cash-only transactions, as firms preserve liquidity and reduce risk exposure. These shifts reflect a broader behavioral adjustment: under conditions of uncertainty, dealmakers aim to minimize overpayment and improve flexibility. During Trump-era tariffs, characterized by heightened cost volatility and geopolitical tension U.S. acquirers likely adjusted their financing strategies accordingly. If deals during the tariff period were significantly more likely to use stock-only structures, it would provide evidence consistent with prior research on uncertainty and M&A financing (Gregoriou et al., 2021; Sha et al., 2020). Therefore the hypothesis is:

H3: Tariffs increased the likelihood that U.S. manufacturing firms used stock-only instead of cash-only payments in cross-border M&A deals.

2.4.4 Overall M&A Volume

Cross-border M&A activity is highly sensitive to macroeconomic and institutional frictions, particularly during periods of trade tension and policy uncertainty (Erel et al., 2012; Rossi & Volpin, 2004). Trade policy uncertainty affects not only the volume of outbound M&A deals by U.S. firms, but also the broader capital allocation between countries. Such uncertainty can either encourage outward diversification or deter inbound investment, depending on how firms and foreign investors respond to the perceived risk. According to the investment deterrence hypothesis, such uncertainty, discourages firms from making long-term cross-border commitments (Bloom, 2009; Cao et al., 2017). This is especially relevant for M&A, where transactions often involve irreversible investments and high sunk costs. As shown by Cao et al. (2017), political uncertainty has a significant negative effect on outbound deal activity, particularly in sectors like manufacturing that are directly exposed to trade policy. A similar deterrent effect is expected here, as tariffs may have discouraged U.S. acquirers from pursuing deals in affected regions.

H4: Higher U.S. tariffs reduce the number of cross-border M&A transactions made by U.S. manufacturing firms.

Methodology and Data

The following section describes the data collection process, defines the variables used in the analysis, and outlines the empirical models that will be employed to test the hypotheses. It also presents summary statistics of the variables and discusses how the data were prepared for regression analysis.

3.1 Sample Data and Data Collection

To conduct the analysis, a comprehensive dataset was constructed from multiple sources. The primary data on M&A transactions comes from Refinitiv Eikon (SDC Platinum), which provides deal-level information including announcement, completion dates, transaction premium, payment method, and deal status. Data on U.S. and retaliatory tariffs retrieved from the World Integrated Trade Solution (WITS). To isolate the impact of tariff exposure, the analysis includes only deals in industries directly affected by Section 232⁸ tariffs, related manufacturing sectors, as identified in the earlier HS-SIC matching procedure (Pierce & Schott, 2012). The sample is restricted to deals involving at least one U.S. manufacturing firm (either as acquirer or target) between 2014 and 2022. The focus lies on U.S. acquirers in the manufacturing sector making acquisitions (majority stake purchases) of targets in four regions: Western Europe (EU17 countries and UK), Canada & Mexico, China, and the United States (for domestic deals). The full list of countries and SIC industries can be found in appendix 3. These countries/regions are selected because they were the major trading partners affected by the Section 232 tariffs and together represent the bulk of cross-border M&A activity with the U.S. manufacturing sector (Datastream, 2025). All macroeconomic variables are retrieved from the World Bank's World Development Indicators or the Federal Reserve economic database, with EPU indices obtained from Baker, Bloom, and Davis (2016). The time frame covers the period of Trump's first term and a few years before and after, following Xie (2023) and Flaaen & Pierce (2019) in using the pre-tariff period as control window around the tariff implementation. To be consistent with prior M&A studies, this thesis analyzes deals from the announcement stage (as opposed to only completed deals). Thus, all deals announced within the period, including those eventually completed, withdrawn, pending, or dismissed rumor, are considered (Cao et al., 2017; Nguyen & Phan, 2017).

⁸ See reference 1

Additional filters ensure sample consistency and comparability. Only deals valued above \$1 million USD are retained, and non-traditional transaction types, such as leveraged buyouts, recapitalizations, exchange offers, and share repurchases are excluded (Cao et al., 2017; Erel et al., 2012). These restrictions apply equally to domestic and cross-border deals, ensuring comparability across treatment and control groups. After applying these criteria, the final dataset contains 17,142 announced M&A deals. Section 3.2 describes the construction and definition of key variables used in the empirical analysis.

3.2 Variables

In this section, the key variables used in the analysis, categorized as independent, dependent, and control variables are defined. Appendix 2 provides a summary table of all variables, including their definitions, measurements, and data sources.

3.2.1 Independent Variable

Hypotheses 1–3 employ a difference-in-differences (DiD) identification strategy contrasting the pre-tariff and post-tariff periods between cross-border and domestic deals. Specifically, *PostTariff* is a dummy equal to 1 for deals announced after March 8, 2018, till tariffs are active for that specific region, and 0 for deals before that date. *CrossBorder* is a dummy indicating an outbound cross-border acquisition (a U.S. acquirer purchasing a foreign target) versus a purely domestic U.S.–U.S. deal. The interaction term $\text{PostTariff} \times \text{CrossBorder}$ captures the differential change in outcomes for cross-border deals after the tariff shock, relative to the change for domestic deals. β_3 measures the causal effect of the tariffs on cross-border deals, after controlling for any baseline differences and common time trends.

This is the DiD estimator of interest, with U.S. domestic transactions serving as the control group (baseline) in the comparison. The corresponding tariff-impact variable for Hypotheses 1–3 can be written as:

$$\text{TariffEffect}_{i,t} = \beta_1 \text{PostTariff}_t + \beta_2 \text{Cross-Border}_i + \beta_3 (\text{PostTariff}_t \times \text{CrossBorder}_i)$$

Hypothesis 4 extends this framework by allowing the tariff effect to vary across target regions. Instead of a single Cross-Border dummy, four mutually exclusive region dummies identify foreign target locations in Europe, Canada, Mexico, or China, with U.S. domestic deals serving as the reference category. Each region dummy is interacted with the *PostTariff* indicator to capture how the impact of the tariffs differs by region, reflecting the staggered and

heterogeneous tariff implementation across countries. This region-specific DiD design follows prior research that uses domestic deals as a benchmark to isolate policy shock effects on cross-border M&A (Cao et al., 2017; Sha et al., 2020). The tariff-effect component in the Hypothesis 4 model can be expressed as:

$$TariffEffect_{i,t} = \beta_1 (PostTariff_t \times Canada_i) + \beta_2 (PostTariff_t \times Europe_i) + \beta_3 (PostTariff_t \times China_i) + \beta_4 (PostTariff_t \times Mexico_i)$$

In this specification, the omitted category is domestic (U.S.–U.S.) deals, ensuring that all estimated β coefficients represent differences relative to a no-tariff, domestic baseline. By construction, this approach isolates the causal impact of tariff exposure on cross-border M&A outcomes in each region, net of common shocks, and provides a rougher test of the investment-deterrence- and tariff jumping hypothesis.

3.2.2 Dependent Variable

Four dependent variables are analyzed, each corresponding to one of the hypothesis dimensions: Deal Premium, Deal Completion, Payment Structure, and Deal Volume. Each is carefully defined and constructed to quantitatively capture the outcome of interest, drawing on definitions used in prior M&A research. Following previous research, for all hypotheses, as a robustness check, the start of the post-tariff period is shifted forward by one year to assess the sensitivity of the results to the exact timing of policy implementation. This ensures that findings are not driven by anticipatory effects or short-term distortions immediately following the policy announcement (Gregoriou et al., 2021; Xie, 2023).

3.2.2a Deal Premium

The first dependent variable measures the premium offered by the acquirer over the target firm's market value, calculated as the percentage difference between the final offer price and the target's share price four weeks prior to the announcement for deal i at year t . In environments of elevated uncertainty, such as during trade policy shocks firms tend to offer lower premiums to account for increased valuation risk and reduced clarity around integration outcomes (Bonaime et al., 2018). This behavior aligns with the investment deterrence hypothesis, which predicts more conservative deal pricing under uncertainty. Following Gregoriou et al. (2021) and Officer (2003), only values between 0 and 200% will be included, in order to remove extreme outliers.

3.2.2b Deal Completion

The second dependent variable, Deal Completion, is a binary indicator capturing whether an announced M&A transaction ultimately failed to close. It equals 1 if the deal was withdrawn, classified as a pending transaction that remained incomplete by 31 December 2022, or recorded as a dismissed rumor. It equals 0 if the deal was successfully completed. This classification follows the approach of Lim and Lee (2017), who model deal completion as a binary dependent variable, treating withdrawn, lapsed, or unconsummated cross-border M&A deals as failures in their analysis of acquisition outcomes under national economic disparity. Following Lim and Lee (2017) pending deals are treated as failed if they had not been completed as of the dataset's cutoff (December 31, 2022).

3.2.2c Deal Payment

The third dependent variable captures how M&A deals were financed. Consistent with prior studies, two related dependent variables are used. First, a binary variable StockOnly, which equals 1 if the deal was financed entirely through stock and 0 otherwise (Gregoriou et al., 2021). This allows a clear distinction between pure stock transactions and all other payment types. Second, the percentage of stock used in the total payment is included as a continuous variable (Perc_stock). This additional measure accounts for deals with mixed structures and provides a more nuanced view of financing behavior under uncertainty. Payment method reflects strategic responses to external risk. In stable environments, cash deals are more common as firms have stronger confidence in valuation and post-acquisition integration. However, under heightened uncertainty such as tariffs, stock payments become more attractive because they allow firms to hedge valuation risk and maintain financial flexibility (Nguyen & Phan, 2017).

3.2.2d Deal Count

The fourth dependent variable measures the intensity of M&A activity based on the number of deals. Following Cao et al. (2017), the analysis uses a quarterly panel of deal counts for U.S. domestic deals and acquirer-target country pairs. Each observation reflects the number of cross-border M&A deals targeting firms in one of the selected foreign regions or the U.S. domestic market. In contrast to approaches that normalize deal counts by economic size, this model uses absolute deal counts to estimate the direct impact of policy shocks on transaction frequency, following the logic in Cao et al. (2017) and Erel et al. (2012). This avoids imposing arbitrary

scaling assumptions and allows tariff exposure to be assessed as a treatment effect on observed transaction intensity.

3.2.3 Control Variables

To control for confounding influences on the dependent variables, firm-level deal-level, and country-level control variables are included. An overview of the definitions, how they are measured and the database can be found in Appendix 2.

Model 1-3 include a standard vector of acquirer-level controls, denoted as $X_{i,t}$, consistent with prior M&A literature (Cao et al., 2017; Nguyen & Phan, 2017). This vector includes the logarithm of total assets (firm size), cash-to-assets (Cash), debt-to-assets (Leverage), and market-to-book ratio (MBratio), all based on the acquirer and known to influence acquisition behavior and valuation. To mitigate the influence of outliers, all continuous control variables are winsorized at the 2.5th and 97.5th percentiles. Observations with missing values on any of the controls are excluded to preserve a consistent estimation sample across models.

The second vector of control variables for model 1-3 include deal-specific control variables, denoted as $Y_{i,t}$. First, the log of deal value (Ln DealValue), because larger transactions are often associated with increased complexity and signaling effects in cross-border contexts (Cao et al., 2017). Moreover, a dummy variable to control for the status of the target, equal to 1 if the target is publicly listed and 0 otherwise (Public). Public targets typically face stricter disclosure requirements, greater examination, and higher pricing efficiency, which may influence both deal valuation and the likelihood of deal completion (Gregoriou et al., 2021; Nguyen & Phan, 2017). thirdly, a dummy variable controls for industry relatedness (Diversify), equal to 1 if the acquirer and target operate in the same industry based on the first two digits of the U.S. SIC codes. This variable identifies whether the deal is diversifying, a factor shown to influence risk perception and strategic fit. These control variables are in line with previous literature (Gregoriou et al., 2021; Nguyen & Phan, 2017; Officer, 2003). Although prior literature often includes a tender offer dummy or hostile dummy to control for deal structure (Nguyen & Phan, 2017; Officer, 2003), these variables are excluded here due to limited variation in the sample: only 99 tender offers were identified and 17 hostile deals, compared to 17,142 total deals.

For Model 4, which analyzes deal volume using a country-quarter panel, the control variables capture the macroeconomic and institutional environment of the target country. Based on prior M&A studies (Erel et al., 2012; Rossi & Volpin, 2004), the country-level control variables

are included in one vector $Z_{i,t}$ which consists of: real GDP growth (annual percentage change, indicating economic momentum), GDP per capita (level of development and market size), CPI (inflation rate reflecting macroeconomic stability), exchange rate (measuring currency strength against the U.S. dollar), interest rate (the difference between the countries and U.S. interest rates capturing capital cost differences), EPU, and Quality of institution index. Higher GDP growth or favorable interest rates can encourage M&A activity, whereas high inflation or volatile exchange rates may deter it (Erel et al., 2012).

The Economic Policy Uncertainty (EPU) index from Baker, Bloom, and Davis (2016) is also included to control for broader policy uncertainty. EPU captures general economic risk that could affect M&A activity independently of the tariffs. By controlling for EPU, it becomes possible to separate the general slowdown in M&A during periods of high uncertainty from the specific effects of tariff exposure. Prior M&A studies, such as Bonaime et al. (2018), include EPU as a control variable to account for economy-wide risk factors that might otherwise bias the estimated effects of policy shocks. Finally, Institutional quality is measured by merging three categories of International Country Risk Guide (ICRG) composite political risk including corruption law and order, and bureaucratic quality, which is in line with previous research (Cao et al., 2017; Erel et al., 2012).

3.3 Methodology

In this part the four methodologies will be discussed. Each hypothesis contains for robustness a second column where the tariff period is lagged with one year forward. In Appendix 6, one quarter lagged has also been added. Wilkins (2018) shows that omitting lagged outcomes can bias coefficient estimates, while including them yields more reliable inference.

3.3.1 -Premium, - Completion, and Deal Payment

For each of the first three hypotheses the same formula is used. However, only the dependent variable varies each time. The key independent variable is the interaction term between the post-tariff period dummy (PostTariff) and a cross-border dummy (CrossBorder), which equals 1 for deals involving a U.S. acquirer and a non-U.S. target and 0 for U.S.–U.S. deals. This interaction captures the differential change in deal premium attributable to the tariffs for cross-border transactions, in line with the difference-in-differences (DiD) design outlined in Section 3.2.1.

The model includes a vector of acquirer-level control variables, $X_{i,t}$ consisting of the natural logarithm of total assets (firm size), the market-to-book ratio, cash holdings, and the debt-to-assets ratio (leverage). All financial variables are winsorized at the 2.5th and 97.5th percentiles. The vector, $Y_{i,t}$ contains deal-level characteristics, including a dummy for diversifying deals, a dummy indicating whether the target is publicly listed, and log deal value. Year fixed effects are added to control for macroeconomic shocks and aggregate trends. The specification is as follows:

$$Y = \alpha + \beta_1 PostTariff_i + \beta_2 Cross-Border_i + \beta_3 (PostTariff_i \times CrossBorder_i) + \Gamma' X_{i,t} + \Theta' Y_{i,t} + \lambda_t + \varepsilon_{i,t}$$

$$Y = \begin{cases} DealPremium_{i,t} \\ \text{Logit}(\Pr(Withdrawn_{i,t}=1)) \\ \text{Logit}(\Pr(StockOnly_{i,t}=1)) \text{ or } \text{Log}\left(\frac{P(StockOnly=1)}{1-P(StockOnly=1)}\right) \end{cases}$$

To test Hypothesis 1, the effect of tariffs on the premium paid in M&A transactions is assessed using a linear panel regression model (Gregoriou et al., 2021). Here, the dependent variable is the deal premium, calculated as the percentage difference between the acquirer's offer price and the target's share price four weeks prior to the announcement.

To test Hypothesis 2, the likelihood of withdrawal is estimated using a logistic panel regression model, as the dependent variable is binary. The variable *Withdrawn* equals 1 if the deal was cancelled or not completed by the data cutoff (December 2022), and 0 otherwise. This classification is consistent with Lim and Lee (2017), who treat both formally abandoned and long-pending deals as uncompleted transactions.

To test Hypothesis 3, the effect of tariff-induced uncertainty on the financing structure of M&A deals is analyzed using two complementary dependent variables. Following Gregoriou et al. (2021), the first is a binary indicator, *D_stock*, which equals 1 if the deal was fully financed with stock and 0 otherwise. This isolates purely equity-financed transactions. The second variable, *Perc_Stock*, is continuous and measures the percentage of the total deal value paid in stock. Together, these specifications allow for a nuanced examination of whether acquirers shifted toward stock financing in response to tariff-related uncertainty.

3.3.2 Deal Count

To test Hypothesis 4, the impact of the Section 232 tariffs on the volume of outbound U.S. M&A activity is evaluated using a region-specific difference-in-differences (DiD) design. The

dependent variable is the number of outbound cross-border deals per country per quarter, modeled using a Poisson panel regression as the baseline estimator. This approach is well suited for count data, avoiding the need for log transformations and enabling direct interpretation through incidence rate ratios (Cao et al., 2017; Erel et al., 2012). However, a known limitation of the Poisson model is the restrictive assumption that the mean and variance of the dependent variable are equal. In practice, count data often exhibit overdispersion, where the variance substantially exceeds the mean. This can bias standard errors and lead to misleading inference (Cameron & Trivedi, 2013). To address this, a Negative Binomial model is estimated as a robustness check. This model introduces an additional dispersion parameter that accounts for unobserved heterogeneity across region-quarter cells, improving the model's flexibility and ensuring more reliable inference. This two-step approach ensures that the core results are not sensitive to distributional assumptions about the error structure. The DiD design includes mutually exclusive region dummies for Canada, Europe, China, and Mexico, interacted with the PostTariff dummy, equal to 1 for deals announced after March 8, 2018, till tariffs are active for that specific region. U.S.–U.S. domestic deals are omitted and serve as the reference category. The main tariff-effect specification is:

$$E[Dealcount_{i,t}] = \exp\{ \alpha + \beta_1 Canada_i + \beta_2 Europe_i + \beta_3 China_i + \beta_4 Mexico_i + \beta_5 (PostTariff_t \times Canada_i) + \beta_6 (PostTariff_t \times Europe_i) + \beta_7 (PostTariff_t \times China_i) + \beta_8 (PostTariff_t \times Mexico_i) + \Phi'Z_{i,t} \}$$

This setup captures region-specific changes in deal volume relative to the trend in domestic U.S. activity, following Cao et al. (2017) and Sha et al. (2020). The coefficients on the interaction terms measure whether deal flow declined more for regions exposed to tariff barriers, net of common macroeconomic shifts. The vector $Z_{i,t}$ includes country-level controls that influence cross-border deal activity (Erel et al., 2012; Rossi and Volpin, 2004).

3.4 Data Transformation

To prepare the data for each analysis, the full sample is divided into four subsets corresponding to the four hypotheses. First the (1) deal-premium analysis subset, (2) deal withdrawal analysis subset, Deal payment method (3), and (4) deal-count analysis subset.

For the analyses related to Hypotheses 1 through 3, separate subsamples are constructed based on deal status, outcome variable, and data availability. In line with prior research, firm-level financial characteristics with missing values are excluded to ensure consistency across models

(Erel et al., 2012; Rossi & Volpin, 2004). Furthermore, all firm-specific variables are winsorized at the 2.5th and 97.5th percentiles to mitigate the influence of outliers, a refinement of the 1st–99th percentile threshold employed by Bonaime et al. (2018), better suited to the distributional characteristics of the current dataset.

For Hypothesis 1, which evaluates deal premium effects, only completed transactions are included since pending or withdrawn deals produce unreliable values due to non-execution. This subset consists of 379 observations after filtering. Hypothesis 2 examines the likelihood of deal withdrawal and therefore includes withdrawn deals as well. After applying the exclusion criteria, 2,466 observations remain. For Hypothesis 3 on payment method, only completed deals with valid payment data are considered, and results in 923 observations.

For Hypothesis 4, which examines the volume of completed cross-border M&A, withdrawn deals are excluded, following prior studies such as Erel et al. (2012) and Rossi & Volpin (2004), since these do not contribute to realized M&A activity. This dataset only has country control variables, all of which are available, and therefore no observations need to be excluded. The total observations here are the number of quarters, which is in total 152.

3.5 Descriptive Statistics

Table 1 presents descriptive statistics for the main sample used in the analysis. The table is divided into two panels. The first panel shows summary measures for pre tariff deals and the second panel shows statistics for post tariffs deals. Only deals with full data on all control variables are included. Average deal premium declined from 24.1% to 21.0%, suggesting reduced willingness to pay in the post-tariff era, consistent with findings by Nguyen and Phan (2017) and Gregoriou et al. (2021), who report that uncertainty depresses acquisition pricing. Simultaneously, the use of stock in payments increased: the mean percentage of stock rose from 23.8% to 27.8%, and the share of all-stock deals rose from 10.0% to 11.9%, suggesting a growing preference for equity-based financing under uncertainty, in line with the liquidity-preserving behavior described by Sha et al. (2020). The economic policy uncertainty index (EPU) rose sharply from a mean of 135 to 212, capturing a heightened policy risk environment that aligns with the expected deterrent effects on dealmaking (Bonaime et al., 2018). The deal withdrawal rate declined modestly from 13.3% to 12.4%, which may appear counterintuitive given the rising uncertainty. However, this aggregate change does not account for differences between domestic and cross-border

transactions. Whether this reflects a shift in the composition of deals or a substantive change in completion rates remains to be tested in the regression analysis.

Table 1
Summary statistics Table

Pre Tariffs	N	Mean	SD	Min	p25	Median	p75	Max
Deal Premium	699	24.086	30.882	-52.67	2.87	17.34	37.421	122.64
Perc Stock	1007	23.832	35.518	0	0	0	40.331	100
D_Stock	1007	.1	0.301	0	0	0	0	1
D_Withdrawn	8214	.133	0.340	0	0	0	0	1
Firm Size	2986	6.931	3.079	-6.908	5.835	7.454	8.841	14.761
MBratio	2575	3.592	5.406	-8.004	1.431	2.452	4.07	28.769
Cash	2986	.11	0.135	0	.023	.069	.143	.673
Leverage	2986	.624	0.399	.053	.426	.585	.721	2.292
Public	8214	.339	0.473	0	0	0	1	1
Diversify	8214	.377	0.485	0	0	0	1	1
Ln DealValue	2594	4.12	2.488	-4.605	2.636	4.314	5.846	11.398
GDP per Capita	8214	10.88	0.245	8.927	10.93	10.952	10.98	11.004
GDP	8214	2.44	0.570	.65	1.822	2.524	2.946	7.426
Interest Rate	8214	.027	0.672	-6.147	0	0	0	6.083
Currency	8214	-.003	0.717	-5.791	0	0	0	6.652
CPI	8214	99.933	5.853	83.202	97.164	101.786	104.406	112.917
EPU	8214	134.692	52.881	12.09	98.735	116.62	157.677	694.849
QOI	8214	1.235	0.173	-.476	1.226	1.228	1.228	1.651
Post_Tariffs								
Deal Premium	365	21.001	28.310	-52.67	5.34	14.34	32.51	122.64
Perc Stock	835	27.752	37.724	0	0	0	56.781	100
D_Stock	835	.119	0.323	0	0	0	0	1
D_Withdrawn	8928	.124	0.330	0	0	0	0	1
Firm Size	2591	7.424	2.741	-5.521	6.192	7.771	9.261	15.136
MBratio	2213	3.998	5.961	-8.004	1.491	2.612	4.538	28.769
Cash	2591	.121	0.151	0	.026	.071	.147	.673
Leverage	2591	.598	0.343	.053	.429	.576	.715	2.292
Public	8928	.269	0.443	0	0	0	1	1
Diversify	8928	.444	0.497	0	0	0	1	1
Ln DealValue	2791	4.495	2.234	-4.605	2.996	4.605	6.118	10.944
GDP per Capita	8928	10.957	0.228	9.172	10.994	11.025	11.051	11.072
GDP	8928	2.529	2.806	-6.049	2.512	2.584	3.546	8.448
Interest Rate	8928	.05	0.824	-6.107	0	0	0	5.953
Currency	8928	-.039	0.518	-3.776	0	0	0	6.335
CPI	8928	107.092	4.544	87.154	104.334	106.09	107.845	117.879
EPU	8928	211.881	83.914	48.747	159.511	187.096	230.152	970.83
QOI	8928	1.059	0.154	-.45	1.002	1.004	1.217	1.558

This table presents the descriptive statistics of the key variables in the analysis of this paper. The number of observations, mean standard deviation, minimum value, first- second and third quarters and maximum value. The dependent variables are shown first. All firm-level controls are winsorized at the 2.5% and 97.5% percentiles. The first panel shows descriptive statistics for pre-tariffs deals; the second panel shows post-tariffs deals.

In table 2, 3 panels are shown. Panel A displays the distribution of M&A deal announcements between 2014 and 2022 divided over the countries. Canada and Mexico are shown

together since their tariff period was the same. For Europe, China, and U.S. the post- and pre-tariff number of years are the same and therefore interesting to analyze. Europe experienced a modest increase from 704 to 901. Surprisingly, China maintained a stable deal count across periods.

Panel B reports deal outcomes across U.S. domestic deals, cross-border deals, and a subset involving U.S. targets in cross-border transactions. On average, 12.86% of all deals were withdrawn. U.S. domestic and U.S. acquirer deals showed nearly identical withdrawal rates around 12%, whereas deals with U.S. targets were more likely to fail, with a 16.9% withdrawal rate. Panel C presents the distribution of payment methods. Cash remained the dominant form of financing across all categories, especially in U.S.-U.S. deals, where 75.24% of deals were cash-based, which is in line with previous research who found that 73.59% of U.S. domestic deals were completely financed with cash (Albanesi & Vamossy, 2023). Cross-border and U.S. target deals exhibited a higher reliance on equity financing. Notably, 15.94% of U.S. target deals and 13.37% of other cross-border deals were financed entirely with stock.

Table 2
Summary statistics of deal frequency, completion rate, and payment structure.

Panel A	Country				
Period	Canada & Mexico	China	Europe	USA	Total
Pre	305	41	704	7164	8214
Post	93	41	901	7893	8928
Total	398	82	1605	15057	17142

Panel B	Deal Status		
Country	Completed	Withdrawn	Total
US_Domestic	11502	1639	13141
	87.53%	12.47%	100%
US_Acq	1844	241	2085
	88.44%	11.56%	100%
US_Target	1592	324	1916
	83.09%	16.91%	100%
Total	14938	2204	17142
	87.14%	12.86%	100%

Panel C	Payment Method			
Country	cash	mixed	stock	Total
US_Domestic	1553	390	121	2064
	75.24%	18.9%	5.86%	100%
US_Acq	156	155	48	359
	43.45%	43.18%	13.37%	100%
US_Target	193	213	77	483
	39.96%	44.1%	15.94%	100%
Total	1902	758	246	2906
	65.45%	26.08%	8.47%	100%

The table includes all U.S. acquirers' and target manufacturing transactions, categorized by deal type (domestic, cross-border, and U.S. target) between 2014-2022. Percentages reflect the relative frequency within each deal type. Panel A reports the region count of deals. Panel B summarizes completion outcomes across regions. Panel C details how deals were financed by payment method.

Results

This section discusses the regression results in the context of the four hypotheses developed. The results will be compared to previous literature as well. Besides that, the variance inflation factors (VIF) were used to test for potential multicollinearity in the models. As all the VIF's presented a value lower than four, the conclusion can be made that there is no string correlation between the independent variables. To remain consistent with prior studies, each analysis includes an additional column in which tariff exposure is lagged by one year (Gregoriou et al., 2021; Xie, 2023). To illustrate the difference in timing effects, Appendix 6 presents a supplementary table using a one-quarter lag specification.

4.1 Deal Premium Analysis

In line with Hypothesis 1, Table 3 examines whether the Trump-era tariffs changed the premium of cross-border M&A deals. It presents panel regressions of the deal premium on post tariff and deal-type indicators using two specifications: Column (1) uses the tariff period, and Column (2) uses a tariff period dummy lagged by one year. This setup implements a difference-in-differences design, comparing pre- vs post-tariff periods for U.S.–U.S. (domestic) deals and cross-border deals. A negative tariff effect (consistent with investment-deterrence theory) would imply smaller deal premium in the post-tariff period. However, a higher deal premium, would mean that the investment deterrence would be outweighed by the tariff-jumping hypothesis

The table reports in the first row the change in acquisition premium for U.S. domestic deals post-tariffs compared to pre-tariff. The coefficient for the normal period is small and statistically insignificant, whereas the lagged result shows a significant increase in premium, indicating that U.S. domestic deal premiums only materially rose one year post-tariffs. The second row represents the baseline premium difference between cross-border and domestic deals pre-tariffs. It is positive and significant (8.9 percentage points), meaning foreign acquisitions pre-tariffs carried higher premiums than comparable domestic deals. In the lagged model this difference is no longer statistically significant. The third row shows the DiD estimator, which measures how the cross-border vs. domestic premium gap changed post-tariffs. The coefficient is large and negative (around –19.8 percentage points, significant at 1%), indicating that post-tariffs, cross-border deals paid markedly lower premiums relative to domestic deals. This implies that the pre-tariff premium of 8.9% for cross-border deals was not only eliminated but reversed, resulting in a lower post-tariff

premium of approximately 10.9% for cross-border deals. The lagged interaction term is also negative (around -18.3 percentage points) and highly significant, very similar in magnitude to the immediate effect. Given that the standard deviation of deal premium is approximately 30% (weighted average of pre- and post-tariffs), this effect corresponds to -0.66 ($-19.8/30$) standard deviations, suggesting a substantive and economically meaningful decline. In economic terms, this means that the percentage deal premium for cross-border deals fell by nearly 20 percentage points more than for domestic deals post-tariffs. It strongly supports the investment deterrence hypothesis, which predicts that protectionist trade policy and the associated uncertainty deter aggressive foreign investment. Bonaime et al. (2018) document that during periods of elevated policy uncertainty, acquisition premiums tend to fall as bidders become more cautious. Thus, the tariff shock significantly depressed cross-border premiums, aligning with previous literature.

To analyze the economic effects, the regression indicates that acquirer characteristics such as size, valuation, liquidity, and leverage had only limited influence on the deal premium, though none of these effects were statistically significant. This suggests that premium levels were not materially affected by financial standing alone. This outcome is consistent with misvaluation theory (Shleifer & Vishny, 2003) and Uysal (2010), who suggest that factors like size, liquidity, and leverage have at best a modest influence on acquisition pricing.

A clear and economically meaningful effect emerges for public targets. Acquisitions of listed firms were associated with significantly higher premiums, based on the estimated coefficients in the normal and lagged models (16.89 and 20.78, respectively). This is consistent with Officer (2003), who highlights the need to pay a control premium above the observable market price when acquiring public companies. Other deal-level characteristics, including industry diversification and target size, had no statistically significant impact, although larger deals and diversifying acquisitions showed the expected directional effects.

Table 3**Panel regression of M&A Deal Premium on tariff period and deal characteristics.**

VARIABLES	(1) Premium Paid - 4 Weeks Prior to Announcement	(2) Lagged Premium Paid – 4 Weeks Prior to Announcement
D_Post	2.580 (14.09)	16.86*** (5.212)
D_Cross-Border	8.928** (3.638)	5.092 (3.286)
Post × Cross-Border	-19.79*** (4.958)	-18.31*** (5.663)
Firm Size	0.163 (0.628)	0.214 (0.648)
MBratio	-0.0264 (0.209)	0.00839 (0.198)
Cash	-1.911 (9.005)	-0.0204 (9.265)
Leverage	-2.867 (5.210)	-2.157 (5.172)
D_Public	16.89*** (4.391)	20.78*** (3.456)
D_Diversify	1.353 (2.236)	1.184 (2.271)
ln_DealValue	0.505 (0.682)	0.474 (0.716)
Year Fixed Effects	Yes	Yes
Constant	3.131 (8.711)	0.182 (8.690)
Observations	379	379
R-squared	0.174	0.156

Dependent variables are Premium Paid (col. 1) and Premium paid with lagged year (col. 2). Key regressors are indicators for the tariff period (During vs Pre) and for cross-border versus domestic deals. Controls include acquirer log-assets, market-to-book ratio, leverage, cash, Public, Diversify, and log-deal value. Standard errors in parentheses
 *** p<0.01, ** p<0.05, * p<0.1

Overall, the results in Table 3 show that cross-border M&A deals experienced a statistically and economically significant decline in acquisition premiums post Section 232 tariffs, while premiums for U.S.–U.S. domestic deals only increased one year lagged. This suggests that U.S. firms became more willing to pay higher premiums for non-tariff-affected targets over time. This outcome aligns with prior literature on the effects of policy uncertainty on M&A valuations. For instance, Gregoriou et al. (2021) and Nguyen & Phan (2017) both report that heightened policy uncertainty leads acquirers to lower premiums. The observed premium decline aligns with the investment deterrence hypothesis, as protectionist shocks increased uncertainty and led to more cautious valuation strategies by foreign acquirers, suggesting that deterrence effects from

uncertainty outweighed any incentive for tariff-jumping behavior. These findings provide strong support for Hypothesis 1.

4.2 Withdrawn Analysis

Table 4 reports the results of a logistic regression estimating the likelihood that an announced M&A deal is withdrawn (1=withdrawn) based on tariff exposure and control variables. The main regressors are binary indicators for the tariff period and deal type (U.S. domestic vs. cross-border), with U.S. domestic deals in the pre-tariff period as the reference category. The post-tariff dummy for domestic U.S. deals is positive but not statistically significant, suggesting no material change in the likelihood of withdrawal for domestic transactions. Interestingly, the baseline withdrawal odds for cross-border deals was significantly lower than for domestic deals pre-tariffs. In fact, the odds of an announced foreign deal being withdrawn were about 0.214, this implies that the odds of deal withdrawal for cross-border transactions were approximately 78.6% lower than for domestic transactions in the pre-tariff period. This finding aligns with the Sunk Cost Bias⁹, where foreign acquirers are more reluctant to abandon deals after committing significant resources (Khan & Tariq, 2022). Although the immediate post-tariff interaction term is positive ($B \approx +0.53$), it is not statistically significant. The effect becomes robust once a year lag is introduced, with the odds of withdrawal for cross-border deals more than tripled ($OR \approx 3.2$, $p < 0.01$), indicating that acquirers needed time to internalize the policy shock. Complex cross-border deals often have extended due diligence and approval timelines, which makes them more vulnerable to evolving policy risks over time (Erel et al., 2012). This lagged response supports prior findings by Gregoriou et al. (2021), who similarly document increased deal failure rates with an one year lag when policy-induced uncertainty rises. The interaction term for one-quarter-lag is also positive and statistically significant, with an odds ratio close to 2, as shown in Appendix 6. Implying that the deterrent effect on deal completion materialized relatively quickly.

For the control variables, the diversifying dummy reveals a strong and statistically significant effect. The negative coefficient ($\beta \approx -1.11$, $p < 0.01$) indicates that cross-industry deals were substantially less likely to be withdrawn than within-industry transactions, even 67.2% lower likelihood of deal failure. This finding is consistent with Nguyen and Phan (2017), who show that

⁹ Cognitive bias where investors are reluctant to abandon their current strategy if a substantial amount of capital, time, and effort has already been invested.

diversifying acquisitions are actually completed more quickly. While often considered more complex, such deals may benefit from pre-existing strategic intent or streamlined approvals, resulting in shorter completion periods.

Table 4
The relationship between tariffs & deal withdrawals in cross-border M&A Deals.

VARIABLES	(1)	(2)	(3)	(4)
	D_Withdrawn	Odds ratio	Lagged D_Withdrawn	Lagged Odds ratio
D_Post	0.447 (0.365)	1.564	0.209 (0.383)	1.232
D_Cross-Border	-1.540*** (0.251)	0.214***	-1.710*** (0.232)	0.181***
Post × Cross-Border	0.527 (0.336)	1.693	1.149*** (0.343)	3.154***
Firm Size	0.0375 (0.0260)	1.038	0.0306 (0.0254)	1.031
MBratio	-0.00850 (0.00823)	0.992	-0.00867 (0.00911)	0.991
Cash	0.608* (0.343)	1.836*	0.571* (0.347)	1.771*
Leverage	0.216 (0.135)	1.241	0.228 (0.174)	1.256
D_Public	0.820 (0.582)	2.271	0.796 (0.585)	2.217
D_Diversify	-1.114*** (0.101)	0.328***	-1.120*** (0.101)	0.326***
ln_DealValue	0.00262 (0.0272)	1.003	0.00658 (0.0270)	1.007
Year Fixed Effects	Yes	Yes	Yes	Yes
Constant	-1.458** (0.626)	0.233**	-1.389** (0.627)	0.249** (0.156)
Observations	2,466	2,466	2,466	2,466

Logit regression model with a dependent variable containing deal withdrawal dummy (1 if withdrawn). Independent variables include post-tariff and deal-type dummies (U.S. vs. cross-border), and firm controls (Firm size, market-to-book, cash, leverage, public dummy, diversifying dummy and log-deal value); Columns 3 and 4 are lagged by one year. Standard errors in parentheses *** p<0.01, ** p<0.05, * p<0.1.

In sum, table 4 supports Hypothesis 2 by showing that the Trump-era tariffs led to a higher likelihood of cross-border M&A deal withdrawals, particularly after a year lag. While the immediate post-tariff effect was insignificant, the lagged results indicate that the odds of withdrawal tripled for foreign deals, signaling a delayed but substantial deterrent effect. This outcome aligns with the investment deterrence hypothesis and supports findings by Gregoriou et al. (2021) and Bonaime et al. (2018), who show that policy uncertainty raises the likelihood of deal failure. Overall, the divergence between foreign and domestic deal outcomes underscores how

trade barriers can materially disrupt cross-border M&A while leaving domestic transactions largely unaffected.

4.3 Payment Analysis

Table 5 presents cross-sectional regressions of the deal payment method on tariff exposure. Column 1 and Column 4 report OLS regressions for the percentage of the deal financed with the acquirer's stock (*Perc_Stock*), while Column 2 and Column 6 present logistic regressions for a 100% stock payment dummy. (Columns 4 and 6 use the tariff variables lagged by one year to test a delayed effect). The post-tariff effect is insignificant in both the OLS and logit results, indicating that U.S. domestic acquisitions did not change their financing mix because of tariffs. The cross-border dummy in the percentage stock OLS regression is positive (around +5.3 percentage points) and marginally significant. This indicates that, pre-tariffs, cross-border deals on average used a slightly higher share of stock financing than domestic deals. In the lagged specification, the cross-border dummy remains positive and statistically significant in the OLS model, but is insignificant in the logit model. The DiD interaction term shows a significant post-tariff shift toward stock financing for cross-border deals in both the immediate and one-year-lag specifications. Implying that cross-border acquisitions use a larger share of stock payment post-tariff. Foreign acquisitions used 26.04 percentage points more stock to finance their deals and were 3.13 times greater odds of being fully stock financed than comparable domestic deals. The lagged interaction confirms the effect, with a 23.46 percentage-point increase in stock usage and an odds ratio of 2.063 ($p < 0.10$). In appendix 6, the same result was found for one-quarter lag. These results indicate a robust and persistent change in financing strategy. These odds ratios imply that, after the tariffs, the likelihood of a 100% stock-financed deal was two to three times greater for cross-border acquisitions compared to domestic deals.

Several control variables also have plausible effects on payment mix. For example, Larger firms rely less on stock financing in M&A, both in terms of percentage and likelihood of 100% stock payment. This supports existing theories that larger firms tend to have stronger internal financing capacity, lower information asymmetry, and better credit access, making cash financing more feasible and preferable (Faccio & Masulis, 2005).

Table 5**The relationship between tariffs and the payment method in cross-border M&A deals.**

VARIABLES	(1) OLS	(2) Logistic	(3) Odds ratio	(4) Lagged OLS	(5) Lagged Logistic	(6) Lagged Odds ratio
	Perc_stock	D_stock	D_stock	Perc_stock	D_stock	D_stock
D_Post	-0.586 (10.07)	0.761 (1.147)	2.141	-11.43 (10.72)	-0.809 (0.824)	0.445
D_Cross-Border	5.254* (3.007)	-0.246 (0.439)	0.782	9.891*** (3.042)	0.177 (0.328)	1.194
Post × Cross-Border	26.04*** (5.513)	1.141** (0.548)	3.131**	23.46*** (6.244)	0.724* (0.435)	2.063*
Firm Size	-6.184*** (0.621)	-0.430*** (0.0607)	0.650***	-6.256*** (0.616)	-0.429*** (0.0607)	0.651***
MBratio	-0.189 (0.234)	-0.0195 (0.0192)	0.981	-0.202 (0.235)	-0.0199 (0.0192)	0.980
Cash	-7.905 (7.996)	-0.737 (0.740)	0.479	-9.616 (8.012)	-0.780 (0.742)	0.458
Leverage	-2.469 (4.326)	-0.583 (0.374)	0.558	-2.775 (4.326)	-0.561 (0.372)	0.571
D_Public	6.911 (14.70)	-0.952 (0.884)	0.386	1.234 (15.07)	-1.148 (0.884)	0.317
D_Diversify	-3.885* (2.219)	-0.861*** (0.257)	0.423***	-3.754* (2.224)	-0.825*** (0.256)	0.438***
ln_DealValue	3.989*** (0.785)	0.343*** (0.0699)	1.410***	3.980*** (0.780)	0.339*** (0.0696)	1.404***
Year Fixed Effects	Yes	Yes	Yes	Yes	Yes	Yes
Constant	36.86** (16.01)	-0.0930 (1.054)	0.911	42.60*** (16.37)	0.0480 (1.061)	1.049
Observations	923	923	923	923	923	923
R-squared	0.214			0.207		

Cross sectional logit & tobit regression analyses exploring the dependent variables: percentage financed with stock (OLS, col.1,4) and stock-only payment dummy (logit, col.2,6). Independent variables include post tariff and deal-type dummies and controls (Firm size, market-to-book, cash, leverage, public dummy, diversifying dummy, and log-deal value). Column 4, 5, and 6 being one-year-lagged. Standard errors in parentheses *** p<0.01, ** p<0.05, * p<0.1.

The results in Table 5 provide compelling support for Hypothesis 3. Following the implementation of the tariffs, cross-border acquirers significantly increased their reliance on stock financing relative to domestic peers, with both the share of equity used and the likelihood of 100% stock deals rising sharply. This behavior aligns with the investment deterrence hypothesis, which predicts a shift toward more cautious, risk-sharing financing under uncertainty. Prior research supports this mechanism. Gregoriou et al. (2021) and Sha et al. (2020) document a rise in stock-based payments during uncertain policy environments, and Hansen (1987) argues that stock is preferred when valuation risks are elevated. Overall, these findings confirm that trade policy uncertainty influenced how cross-border transactions were financed.

4.4 Deal Count Analysis

Table 6 examines how the tariffs affected the number of M&A deals by U.S. acquirers, using a DiD approach. The four columns consist of two Poisson models and two Negative Binomial models with Incidence Rate Ratios (IRR¹⁰), each with both current and one-year-lagged tariffs specifications. The first row presents the post-tariff change in deal volume for U.S. domestic deals. Contrary to earlier findings, the coefficient is negative and statistically significant for both lagged and not lagged (e.g., IRR = 0.773 column 3, $p < 0.01$). This implies that even domestic M&A declined following the introduction of tariffs. This supports the idea that tariffs may have increased general economic and regulatory uncertainty (Cao et al., 2017; Erel et al., 2012).

Rows 2 through 5 report pre-tariff baseline differences in deal volume between domestic transactions and cross-border deals to Canada, China, Europe, and Mexico. All coefficients are negative and significant, indicating that U.S. firms engaged in fewer deals abroad than at home pre-tariffs. The magnitude of these differences varies across countries, with the U.S.-China gap being most pronounced. These results are consistent with prior studies emphasizing home bias¹¹ and structural barriers to cross-border M&A (Erel et al., 2012; Rossi & Volpin, 2004).

Rows 6 through 9 capture the interaction effects between the post-tariff period and each country group, estimating how cross-border deal volume changed relative to domestic M&A post-tariffs. Only the interaction for Europe is statistically significant and positive in both implications, suggesting a relative increase in U.S. acquisitions of European targets post-tariff (IRR > 1.364 in Column 4). Economically, this implies that U.S. firms completed 36.4% more European deals compared to domestic ones during the post-tariff period. This finding offers a partial counterpoint to the investment deterrence hypothesis and suggests that U.S. firms may have reallocated domestic investment toward European targets as a form of European tariff bypass. For China, only the lagged specification shows a statistically significant positive effect (IRR ≈ 2 , $p < 0.1$), suggesting a delayed tariff-jumping response. By contrast, the interaction terms for Canada, and Mexico are statistically insignificant, meaning that post-tariff changes toward these regions were not significantly different from domestic trends.

Among the control variables, the QOI stands out, with a significant IRR of 0.472. This indicates that a one-unit increase in QOI (acquirer operates in a stronger institutional environment)

¹⁰ An IRR greater than 1 indicates an increase in deals, while an IRR below 1 indicates a decrease

¹¹ Companies favor domestic M&A over foreign ones.

is associated with a 52.8% decrease in expected M&A deal volume. This finding aligns with Erel et al. (2012), who argue that acquirers are less likely to invest in countries with weaker governance, suggesting that institutional distance acts as a substantial barrier to cross-border deal flow.

Table 6
The impact of Trump-era tariffs on the volume of cross-border M&A deals

VARIABLES	(1)	(2)	(3)		(4)	
	Poisson regression	Poisson regression Lagged	Negative Binomial regression		Negative Binomial regression lagged	
	Coef.	Coef.	Coef.	IRR	Coef.	IRR
D_Post	-0.240*** (0.0378)	-0.157*** (0.0545)	-0.258*** (0.0716)	0.773***	-0.226* (0.115)	0.797*
<i>TargetNation</i>						
Canada	-2.570*** (0.158)	-2.826*** (0.164)	-2.630*** (0.257)	0.0721***	-2.754*** (0.307)	0.0637***
China	-4.660*** (1.179)	-8.512*** (1.209)	-5.215*** (1.857)	0.00543***	-8.792*** (1.997)	0.000152***
Europe	-1.437*** (0.340)	-2.538*** (0.320)	-1.578*** (0.533)	0.206***	-2.454*** (0.544)	0.0860***
Mexico	-4.938*** (1.054)	-8.366*** (1.088)	-5.341*** (1.646)	0.00479***	-8.537*** (1.788)	0.000196***
<i>Interaction effects</i>						
	0.227* (0.131)	-0.469 (0.341)	0.223 (0.151)	1.249	-0.428 (0.367)	0.652
Post × China	0.173 (0.270)	0.732** (0.291)	0.155 (0.320)	1.167	0.694* (0.372)	2.002*
Post × Europe	0.303*** (0.0619)	0.316*** (0.0652)	0.310*** (0.0835)	1.364***	0.342*** (0.104)	1.408***
Post × Mexico	-0.0321 (0.401)	-0.560 (1.015)	-0.0141 (0.410)	0.986	-0.497 (1.024)	0.608
(mean) GDP_per_capita	0.989* (0.543)	-0.839* (0.507)	0.779 (0.850)	2.179	-0.738 (0.853)	0.478
(mean) GDP	0.0287*** (0.00651)	0.0374*** (0.00645)	0.0399*** (0.0103)	1.041***	0.0488*** (0.0106)	1.050***
(mean) Interest Rate	-0.0691** (0.0310)	-0.00636 (0.0284)	-0.0682* (0.0373)	0.934*	-0.0212 (0.0364)	0.979
(mean) Currency	-0.0308* (0.0164)	-0.0363** (0.0163)	-0.0263 (0.0192)	0.974	-0.0308 (0.0195)	0.970
(mean) CPI	0.000637 (0.00229)	0.00449* (0.00234)	0.00142 (0.00380)	1.001	0.00365 (0.00404)	1.004
(mean) EPU	-5.79e-05 (0.000227)	-0.000404* (0.000232)	0.000201 (0.000344)	1.000	-4.95e-05 (0.000360)	1.000
(mean) QOI	-0.706*** (0.185)	-1.047*** (0.289)	-0.750** (0.335)	0.472**	-1.242** (0.540)	0.289**
Constant	-4.184 (5.876)	15.88*** (5.519)	-1.963 (9.224)	0.140	15.02 (9.275)	3.345e+06
Observations	152	152	152	152	152	152

Panel regression including country specific control variables (GDP per capita, GDP, Interest rate difference, Currency against the dollar, Quality of institutional, and Economic policy uncertainty). Coefficients on “Pre”, and “Post” indicators measure deal volume changes in those periods relative to pre-tariff domestic deals. Standard errors in parentheses *** p<0.01, ** p<0.05, * p<0.1.

In conclusion, Table 6 does not provide empirical support for the Investment Deterrence Hypothesis or the hypotheses in the context of U.S. cross-border M&A during the Trump-era tariffs. Baseline volumes of cross-border deals were significantly lower than domestic transactions before the tariffs, consistent with prior findings on home bias and institutional frictions (Erel et al., 2012). Among the interaction terms, only the Europe coefficient is statistically significant, and notably, it is positive. This unexpected increase suggests that U.S. firms redirected deal activity toward institutionally similar regions like Europe, potentially to bypass retaliatory tariffs rather than pulling back from cross-border acquisitions. For China, only the one-year-lagged interaction is statistically significant and positive, suggesting that U.S. firms may have responded to China's retaliatory tariffs with delayed tariff-jumping behavior (WITS, 2020). The lack of significant effects for Canada and Mexico, combined with a decline in domestic M&A, points to broader market uncertainty rather than targeted investment suppression. These results contrast with Cao et al. (2017), who emphasize that heightened policy risk tends to reduce foreign acquisitions. In this case, the reallocation pattern suggests strategic adaptation rather than uniform retreat.

4.5 Robustness of Results

As previously discussed, the tariff-jumping hypothesis suggests that foreign acquirers facing new trade barriers may attempt to bypass these tariffs by increasing their acquisitions of U.S.-based manufacturing firms (Bhagwati & Irwin, 1987). However, the investment deterrence hypothesis may also play a significant role in foreign companies acquiring U.S. based manufacturing firms, since the countries in this study had retaliatory tariffs on the U.S. during this period. To test the robustness of the main results, this analysis replaces U.S. acquirer deals with U.S. target deals, using U.S. domestic transactions again as reference group.

Table 7 presents a robustness check focusing three key deal outcomes: the premium paid, the likelihood of deal withdrawal, and the payment method. The regression uses the same independent variables as in hypotheses 1 to 3. Because of the tariff jumping hypothesis, expected is that China, Mexico, Canada, and Europe firms with U.S. as target, pay higher premiums, withdraw fewer deals, and prefer cash financing in the post-tariff period within the manufacturing sector. This expectation is based on the fact that U.S. tariffs on these countries were higher than the retaliatory tariffs imposed on the U.S., as shown in Appendix 5.

In the deal premium regression, the post coefficient is significant, indicating that deal premiums in domestic M&A were after tariffs 30% lower than before, surprisingly the opposite from the insignificant Post-dummy in table 1. The Cross-Border dummy is negative but insignificant, suggesting that foreign acquirers paid no different premiums for U.S. targets pre-tariff. The positive and significant Post $\times$ Cross-Border interaction indicates that foreign bidders paid 15 percentage points more in premiums post-tariff. Given a weighted average standard deviation of 30%, this reflects a 0.5 SD economic effect, substantial by typical M&A standards. Meanwhile, domestic deal premiums dropped by 30%, meaning the premium gap between foreign and domestic acquirers narrowed considerably in the post-tariff period. This supports the tariff-jumping hypothesis: rather than avoiding investment, foreign acquirers offered higher valuations to secure access to the U.S. market (Gregoriou et al., 2021).

In the withdrawal regression, the Post coefficient is positive and significant, suggesting that domestic deals saw more failure rates post-tariff. The Cross-Border coefficient is significantly negative, indicating that, pre-tariffs, domestic deals were 60% more likely to be withdrawn compared to cross-border deals, consistent with the results of table 2 and the sunk cost bias. The Post $\times$ Cross-Border interaction is negative and marginally significant. This implies that post-tariffs, the probability of deal withdrawal in foreign-led acquisitions declined even more relative to domestic transactions. Economically, the associated odds ratio of 0.666 suggests that the odds of a foreign deal being withdrawn fell by approximately one-third post-tariff. Rather than stepping back, foreign acquirers became more committed to closing deals, likely to secure U.S. market access amid rising trade barriers, supporting the tariff-jumping hypothesis (Blonigen, 2001). The finding contrasts sharply with standard investment-deterrence expectations.

In the payment method regression, the Post coefficient is statistically insignificant, indicating that U.S. domestic deals exhibited no meaningful change in their financing structure after the tariffs, in line with table 3. The Cross-Border coefficient is positive and significant, implying that pre-tariffs, foreign acquirers were more likely to use stock than domestic buyers. This aligns with longstanding patterns in cross-border M&A, where foreign firms typically avoid cash payments due to currency, familiarity, and regulatory concerns (Officer et al., 2003). Crucially, the Post $\times$ Cross-Border interaction is both negative and significant across models. This indicates that foreign acquirers' likelihood of using stock declined post-tariff, reversing the pre-tariff trend and implying increased cash usage relative to domestic deals. Economically, the odds

ratio of 0.210 implies that post-tariff, foreign bidders were 79% less likely to use stock compared to the pre-tariff baseline. This supports the tariff-jumping hypothesis: by paying in cash, foreign acquirers could swiftly finalize deals and provide U.S. sellers with value certainty amid trade friction. Rather than shifting toward stock to share downside risk as is typical in uncertain times (Gregoriou et al., 2021), the post-tariff move to cash suggests foreign buyers actively accelerated deal execution in response to protectionist policies.

Lastly, the cash control variable is negative and significant for stock payment usage, indicating that a cash rich firm is more likely to use cash. A one standard deviation increase in cash-to-assets reduces the odds of using 100% stock by approximately 19.3%.

Table 7
Robustness checks for hypotheses 1–3 using inbound M&A deals with U.S. targets.

	(1)	(2)	(3)	(4)	(5)	(6)
VARIABLES	OLS (H1) Premium Paid - 4 Weeks Prior to Announcement	Logit (H2) D_Withdrawn	Odds Ratio	OLS (H3) Perc_stock	Logit (H3) D_Stock	D_Stock Odds Ratio
D_Post	-29.98** (14.21)	0.867** (0.347)	2.380**	-8.110 (9.105)	1.439 (1.127)	4.216
D_Cross-Border	-4.758 (3.978)	-0.513*** (0.162)	0.599***	22.08*** (3.824)	0.962*** (0.309)	2.617***
Post × Cross-Border	15.00** (5.863)	-0.406* (0.231)	0.666*	-22.52*** (5.263)	-1.562*** (0.504)	0.210***
Firm Size	0.575 (0.856)	0.0440* (0.0237)	1.045*	-6.111*** (0.622)	-0.340*** (0.0560)	0.712***
MBratio	-0.389 (0.294)	-0.00857 (0.00880)	0.991	-0.221 (0.234)	-0.0483** (0.0207)	0.953**
Cash	33.44** (14.13)	0.726** (0.324)	2.067**	-15.57** (7.824)	-1.547** (0.745)	0.213**
Leverage	1.231 (6.619)	0.182 (0.163)	1.200	1.482 (4.475)	-0.230 (0.350)	0.794
D_Public	11.56 (10.32)	0.827 (0.575)	2.287	7.596 (14.49)	-0.492 (1.148)	0.611
D_Diversify	0.214 (3.062)	-1.014*** (0.0937)	0.363***	-3.020 (2.253)	-0.531** (0.229)	0.588**
ln_DealValue	1.664* (0.867)	-0.0530** (0.0255)	0.948**	3.853*** (0.762)	0.300*** (0.0644)	1.349***
Year Fixed Effects	Yes	Yes	Yes	Yes	Yes	Yes
Constant	-8.575 (12.42)	-1.254** (0.609)	0.285**	33.57** (15.38)	-1.058 (1.232)	0.347
Observations	307	2,679	2,679	969	969	969
R-squared	0.120			0.172		

This table presents robustness tests, using U.S. as target. Specifications (1) and (4) report OLS regressions for premium paid (H1) and stock usage as percentage (H3), respectively. Specifications (2) and (5) use binary logistic regression models for the likelihood of deal withdrawal (H2) and whether stock financing is used (H3), with specifications (3) and (6) reporting the corresponding odds ratios. Standard errors in parentheses *** p<0.01, ** p<0.05, * p<0.1.

Table 8 presents region-specific DiD regressions examining whether inbound M&A deal counts into the U.S. changed following the Section 232¹² tariffs. The analysis is particularly informative for revealing how tariff impacts varied across acquirer-target country pairs. Using Poisson and Negative Binomial models, the analysis isolates tariff-induced shifts in deal activity from Canada, China, Europe, and Mexico, benchmarked against domestic U.S.-U.S. transactions.

The baseline post coefficient is negative and highly significant across specifications (IRR = 0.833, $p < 0.01$), indicating that U.S. domestic deal volume declined by approximately 16.7% post-tariff. This finding suggests a reducing effect of policy uncertainty on domestic deal activity, an outcome aligned with table 6 and the broader investment deterrence framework (Cao et al., 2017; Erel et al., 2012). All four foreign country dummies are significantly negative relative to the domestic reference group in the pre-tariff period. This confirms that inbound M&A was consistently lower in volume than domestic M&A, reflecting a structural home bias common in global deal flows as shown in table 6 and previous literature (Erel et al., 2012; Rossi & Volpin, 2004).

The key insights arise from the interaction terms. The Post $\times$ China coefficient is strongly negative and statistically significant, indicating that inbound M&A activity from China into the U.S. declined significantly relative to domestic deals after the tariffs. Economically, Chinese acquisitions fell by nearly 50% in the post-tariff period, controlling for the domestic trend. The result aligns more closely with the investment deterrence hypothesis, implying that trade frictions and geopolitical uncertainty discouraged Chinese firms from pursuing U.S. targets. This finding is logical, as China imposed the highest retaliatory tariffs, making it less attractive for Chinese firms to directly “jump” the tariffs (Blonigen, 2001; Matthíasson, 2025). Moreover, it is consistent with broader findings on how policy uncertainty reduces cross-border deal activity (Cao et al., 2017; Gregoriou et al., 2021), and it contrasts with Xie (2023) who documents a surge in Chinese cross-border M&A during the U.S.-China trade war.

The Post $\times$ CountryGroup interaction terms for Canada, Europe, and Mexico are all statistically insignificant, indicating no detectable change in inbound M&A deal volume from these regions. This suggests that, contrary to the expectations of the tariff-jumping hypothesis, there is no evidence that foreign firms systematically increased acquisitions of U.S. targets to bypass trade barriers. These null results align with prior findings that the responsiveness of cross-

¹² See reference 1

border M&A to policy shocks can be highly conditional on industry, deal characteristics, and the severity of frictions involved (Erel et al., 2012; Rossi & Volpin, 2004).

Table 8
Robustness checks for hypothesis 4 based on inbound deal volume, with U.S. as target.

VARIABLES	(1)	(2)	(3)
	Poisson regression	Negative Binomial regression	
	Coef.	Coef.	IRR
D_Post	-0.207*** (0.0365)	-0.183*** (0.0661)	0.833***
<i>TargetNation</i>			
Canada	-3.381*** (0.670)	-3.409*** (0.741)	0.0331***
China	-4.626*** (0.690)	-4.675*** (0.762)	0.00932***
Europe	-3.154*** (0.658)	-3.175*** (0.726)	0.0418***
Mexico	-6.089*** (0.796)	-6.067*** (0.860)	0.00232***
<i>Interaction effects</i>			
Post × Canada	0.0287 (0.117)	0.0146 (0.132)	1.015
Post × China	-0.699*** (0.211)	-0.679*** (0.218)	0.507***
Post × Europe	0.0863 (0.0719)	0.0954 (0.0852)	1.100
Post × Mexico	0.228 (0.632)	0.129 (0.637)	1.138
(mean) GDP_per_capita	1.977*** (0.325)	2.228*** (0.503)	9.278***
(mean) GDP	0.00626 (0.00681)	0.00787 (0.0119)	1.008
(mean) interest_rate_diff	-0.0419 (0.0341)	-0.0344 (0.0390)	0.966
(mean) cur_change	0.540 (0.659)	0.565 (0.728)	1.759
(mean) CPI	-0.00152 (0.00207)	-0.00248 (0.00363)	0.998
(mean) EPU	-0.000512* (0.000293)	-0.000287 (0.000519)	1.000
(mean) QOI	-0.438*** (0.162)	-0.150 (0.285)	0.861
Constant	-15.01*** (3.453)	-18.05*** (5.324)	1.45e-08***
Observations	152	152	152

Table 8 reports count-data regressions examining whether the number of inbound M&A deals by foreign acquirers increased post-tariff, consistent with tariff-jumping behavior. The regressions restrict the sample to deals in which the U.S. is the target country, and compare deal volumes across four country groups: Canada, China, Europe, and Mexico. Column (1) presents Poisson regression coefficients; Columns (2) and (3) display Negative Binomial regression results and corresponding Incidence Rate Ratios (IRRs), respectively. Standard errors in parentheses *** p<0.01, ** p<0.05, * p<0.1.

The robustness analyses in Tables 7 and 8 largely support the tariff-jumping hypothesis, showing that Section 232 tariffs affected U.S. outbound and inbound deals differently, likely due to higher U.S. tariffs compared to those imposed by targeted regions. Inbound deal volume from China fell sharply after the tariffs, consistent with the investment deterrence hypothesis and China's imposition of the highest retaliatory tariffs (Cao et al., 2017; Erel et al., 2012). Foreign bidders paid higher premiums, were less likely to withdraw, and preferred cash payments, behavior indicative of jumping tariffs to bypass tariffs. This aligns with Blonigen (2001), who finds that foreign firms became more likely to acquire U.S. targets in protected industries following the imposition of antidumping duties. However, these behaviors were not widespread enough to reverse the broader chilling effect. Overall, the robustness checks confirm the tariff jumping effect and show the same results for U.S. domestic deals as in the main results, confirming the choice of reference group.

5 Conclusion and Implications

This study investigated how tariffs affected cross-border M&A activity in the U.S. manufacturing sector. This has been done by examining the difference between pre- and post-tariff outcomes across deal premium, likelihood of withdrawal, deal payment and deal count to answer the following question:

Research Question: *How did the Trump-era steel and aluminum tariffs impact cross-border M&A activity by U.S. manufacturing firms?*

The thesis was rooted in competing theoretical expectations: on one hand, investment deterrence theory suggests that protectionist trade barriers and the uncertainty they create will discourage cross-border investments. On the other hand, the concept of tariff-jumping hypothesis posits that foreign firms might respond by increasing acquisitions in the tariff-imposing country to bypass the trade barriers. Employing a difference-in-differences framework on a dataset of 17,142 manufacturing-sector M&A transactions (2014–2022), the analysis compared deal outcomes pre- vs. post-tariff implementation across different acquirer-target country pairings. Domestic (U.S.-U.S.) deals serve as a benchmark to isolate the tariffs' impact on cross-border deals. This rigorous quasi-experimental design, combined with extensive controls, enabled a causal assessment of tariff effects on M&A dynamics.

The empirical results indicate that the tariffs had a visible effect on cross-border M&A activity. Cross-border deals in the post-tariff period were generally smaller in deal premium and more susceptible to withdrawal relative to similar domestic deals. Pre-tariff U.S. domestic deals had a higher withdrawal rate, likely due to sunk cost bias, but this was offset post-tariff by a large increase in withdrawal for cross-border deals. Moreover, post-tariff saw a sharp decline in the usage of cash payments for cross-border deals. This trend implies that acquirers facing tariff uncertainty sought to share risk and conserve liquidity, which is a typical corporate response during times of elevated uncertainty. Such patterns are consistent with the investment deterrence hypothesis, companies grew more cautious with cross-border investments, and many deals were scaled back or abandoned in the face of trade-policy risks. The number of cross-border M&A deals did not decline overall, in fact, acquisitions involving European targets increased significantly post-tariffs. For China, deal activity rose only in the one-year-lagged specification, likely reflecting a response to retaliatory tariffs imposed by China later in 2018. Still, these findings contribute to the growing literature on how macro-level trade policies influence firm-level investment decisions. While prior research has documented that political and policy uncertainties can reduce cross-border capital flows, this thesis provides one of the first causal analyses linking a specific tariff shock to tangible changes in M&A outcomes. It extends existing theories by demonstrating the nuanced ways protectionist measures can reshape corporate strategy, not only by reducing the appetite for foreign acquisitions, but also by altering how deals are structured and financed. The evidence thus bridges trade policy analysis with international M&A research, offering empirical support that trade barriers can translate into higher transaction risks and adjusted valuation strategies in deal-making. For business practitioners, the results carry important implications. U.S. firms appeared to become more hesitant in pursuing or completing cross-border acquisitions after the tariffs, indicating that sudden trade restrictions can make international expansion less attractive or more costly in the manufacturing sector. Conversely, the robustness findings suggest that some foreign companies responded aggressively to the tariffs by seeking a foothold within the United States. These firms were willing to pay higher premiums and use more cash in acquisitions, demonstrating a strategic commitment to secure U.S. operations despite the trade barriers.

For policymakers, such outcomes underscore that tariffs and protectionist measures can have unintended consequences. They may indeed protect certain domestic industries in the short run, but they also risk deterring beneficial foreign investment and encouraging determined

investors to find alternative ways to enter the market. Policymakers should therefore weigh trade-offs between the intended protective effects of tariffs and their broader impact on inbound and outbound investment flows.

Overall, the evidence aligns strongly with investment deterrence hypothesis. Consistent with studies linking policy uncertainty to reduced cross-border M&A, the tariffs corresponded with a pullback in international deal activity by U.S. companies and their counterparts. However, this study also uncovers clear signs of tariff-jumping behavior for U.S. targets, enriching the narrative beyond a simple deterrence outcome. The results in the robustness tables showed behavior which is in direct contrast to what traditional investment-deterrence logic would predict under uncertainty. Instead, it appears that certain foreign investors treated the tariffs as a catalyst to act quickly and decisively, essentially “jumping” the tariff wall by buying U.S. assets to maintain market access. In short, the Trump-era tariffs simultaneously discouraged many deals while spurring a strategic adaptation in others, a dual outcome that had not been thoroughly documented in earlier studies.

5.1 Shortcomings and Limitations

Every empirical analysis has limitations, and the present study is no exception. A first set of limitations stems from the data and time horizon. The sample covers M&A deals up to 2022, and therefore does not capture the effects following the lifting of the tariffs. This relatively brief window may omit longer-run adjustments: it is unclear whether the observed deterrent impact on cross-border M&A persisted, intensified, or reversed in subsequent years. For instance, foreign acquirers initially deterred by the tariffs might have returned once the policy impact stabilized, a dynamic that cannot be captured without a longer post-treatment period. Additionally, the coincidence of major events like the COVID-19¹³ pandemic (starting in 2020) introduces confounding influences. Although the research controls for year fixed effects, one cannot fully disentangle tariff impacts from the pandemic and other simultaneous shocks.

A second limitation concerns the external validity of the findings. The Trump-era tariffs studied here were a specific policy shock in the U.S. manufacturing sector during 2018–2022. Caution is warranted in generalizing the conclusions to other contexts. First, trade policies can differ in nature and scope. The section 232 tariffs were unusual in their breadth and national

¹³ An infectious disease caused by the SARS-CoV-2 virus.

security justification. This study focuses on manufacturing deals involving at least one U.S. company, which tend to be capital-intensive and directly affected by commodity tariffs. As a result, responses to them may not mirror how firms would react to, for example, tariffs in other industries or countries. Second, the U.S. market and the geopolitical climate of the late 2010s were distinctive. Heightened U.S.-China tensions, a strong pre-pandemic economy, and subsequent global disruptions all set the stage for these results. In a more stable or different geopolitical environment, firms' investment decisions could play out differently (Erel et al., 2012).

Finally, because the analysis concentrates on a subset of tariffs (metals) and a subset of countries (those directly hit by U.S. tariffs), it offers a partial view of trade-policy impacts. The results indicate that Chinese acquirers pulled back most strongly, but it remains uncertain whether this reaction was due solely to the tariffs or also to broader factors. Other foreign investors, like those from Mexico or Canada, showed no statistically significant change in deal volume, but this could be influenced by the U.S. later exempting tariffs, a nuance of policy timing not fully captured in the annual data. Therefore, while the findings contribute to the understanding of how protectionist shocks can affect cross-border M&A, they should be applied to other settings with care and awareness of contextual differences.

Building on these limitations, future research could extend and deepen the analysis in several ways. One recommendation is to examine longer-term effects once more data become available; tracking cross-border M&A trends over a decade or more could reveal whether firms eventually adapt to tariffs or if deterrence remains persistent. Another fruitful avenue would be to incorporate firm-level and deal-specific data to better identify tariff-jumping behavior, for example, analyzing whether acquirers in tariff-impacted industries explicitly cite trade barriers as a motivation in press releases or whether deals cluster around tariff announcement dates. Researchers could also explore comparative case studies of different trade policy shocks: comparing the Trump-era tariffs of his first term compared to his second term where there are reciprocal tariffs for each industry and most of the existing countries. Finally, theoretical work could refine the framework by integrating trade policy uncertainty into corporate investment models, shedding light on how tariffs alter the option value of cross-border acquisitions. Such extensions would not only address the current study's constraints but also offer a more comprehensive picture of the interplay between trade policy and international M&A activity.

Appendix

Appendix 1: Deals Per Region

Table 9
Deals divided per acquiror and target region.

Year	Country			Total
	US Domestic	US Acq	US Target	
2014	1517	231	202	1950
	77.79%	11.85%	10.36%	100%
2015	1540	279	221	2040
	75.49%	13.68%	10.83%	100%
2016	1348	259	229	1836
	73.42%	14.11%	12.47%	100%
2017	1540	239	234	2013
	76.50%	11.87%	11.62%	100%
2018	1379	249	235	1863
	74.02%	13.37%	12.61%	100%
2019	1245	182	184	1611
	77.28%	11.30%	11.42%	100%
2020	1322	132	186	1640
	80.61%	8.05%	11.34%	100%
2021	1606	259	234	2099
	76.51%	12.34%	11.15%	100%
2022	1644	255	191	2090
	78.66%	12.20%	9.14%	100%
Total	13141	2085	1916	17142
	76.66%	12.16%	11.18%	100%

This table shows deal frequencies per year. Divided over US domestic deals, US as the acquirer and target respectively. Each first row is the number where the second row is in percentage.

Appendix 2: Variables, Definitions, and Sources

Appendix 2: Variables Definitions and Measurements		
Variable	Definition/Measurement	Source
Independent variable		
Tariffs	The level of steel and aluminum tariff implemented by the United States on Western Europe countries, Canada, Mexico and China. These tariffs are taken into account only if active in month T	World Integrated Trade Solution (WITS)
Dependent Variables		
Deal Premium	The Premium Paid 4 Weeks Prior to Announcement compared to market value of company	SDC Datastream
Withdrawn	Dummy variable equal to one if the M&A deal is withdrawn, pending or dismissed rumor, zero if completed	SDC Datastream
Numbers of M&A	The logarithm of aggregate number of completed M&A deals for each target country per quarter	SDC Datastream
Payment Method	Dummy variable that takes 1 for 100% stock, and 0 otherwise. Moreover a continuous variable of the percentage points of stock payment	SDC Datastream

Control Variables*Country Level Variables*

Real GDP Growth	Annual Growth rate of gross domestic product in USD	World Bank Development Indicators
Ln(GDP/Capita)	The natural logarithm of the annual GDP at constant USD Prices (2010) per capita	Federal Reserve Bank of St. Louis)
Inflation	The annual consumer price index (CPI) of a country	Federal Reserve Bank of St. Louis)
Exchange rate	The percentual change in quarterly exchange rate converted to USD per target country	Federal Reserve Bank of St. Louis)
Interest rate	The interest rate difference between the acquiror (j) nation and the target nation (i) of the domicile 10 year deposit interest rate	Federal Reserve Bank of St. Louis)
EPU Index	The six-month average of the Economic Policy Uncertainty (EPU) index for the target country prior to deal announcement	Baker, Bloom & Davis Index
Quality of Institution	Difference in quality of institutions (law and order, corruption, and bureaucratic quality) between the acquiror (j) nation and the target nation (i)	World Bank Development Indicators

Acquiror Firm Variables

Firm Size	The natural logarithm of the total assets value of the fiscal year of the deal in USD	SDC Datastream accomplished by Compustat IQ
Cash Holdings	Ratio of cash and cash equivalents scaled by total assets in USD	SDC Datastream accomplished by Compustat IQ
Market to Book	The market value of the ordinary (common) equity as of the purchase date divided by the balance sheet value of the ordinary (common) equity in USD	SDC Datastream accomplished by Compustat IQ
Leverage	The sum of long-term debt and debt in current liabilities scaled by total assets in USD	SDC Datastream accomplished by Compustat IQ

Deal Level Variables

Ln (Deal Value)	The Natural Logarithm of the total value paid by the acquiror in USD	SDC Datastream
Public	Dummy variable equal to one if the target is publicly traded, zero otherwise	SDC Datastream
Diversifying	Dummy variable equal to one if the target contains the same first 2 digits of SIC code as the acquiror, zero if the first 2 digits differ	SDC Datastream

Appendix 3: Specification of Countries and SIC Codes

European Countries	
Austria, Belgium, Cyprus, Denmark, Finland, France, Germany, Greece, Iceland, Italy, Luxembourg, Malta, Monaco, Netherlands, Norway, Portugal, Spain, Sweden and United Kingdom	
SIC Codes	
1521	General Contractors - Single-Family Houses
1541	General Contractors - Industrial Buildings and Warehouses
1611	Highway and Street Construction
1791	Structural Steel Erection
1795	Wrecking and Demolition Work
1011	Iron Ores
1021	Copper Ores
1081	Metal Mining Services
1094	Uranium-Radium-Vanadium Ores
1221	Bituminous Coal and Lignite Surface Mining
1222	Bituminous Coal Underground Mining
1475	Phosphate Rock
4011	Railroads, Line-Haul Operating
4213	Trucking, Except Local
4512	Air Transportation, Scheduled
4789	Transportation Services, Not Elsewhere Classified
3721	Aircraft
3724	Aircraft Engines and Engine Parts
3728	Aircraft Parts and Equipment, Not Elsewhere Classified
3761	Guided Missiles and Space Vehicles
3312	Steel Works, Blast Furnaces (Including Coke Ovens), and Rolling Mills
3317	Steel Pipe and Tubes
3325	Steel Foundries, Not Elsewhere Classified
3334	Primary Production of Aluminum
3341	Secondary Smelting and Refining of Nonferrous Metals
3357	Drawing and Insulating of Nonferrous Wire
3365	Aluminum Foundries
3511	Turbines and Turbine Generator Sets
3523	Farm Machinery and Equipment
3564	Industrial and Commercial Fans and Blowers and Air Purification Equipment
3599	Industrial and Commercial Machinery and Equipment, Not Elsewhere Classified
2421	Sawmills and Planing Mills, General
2431	Millwork
2448	Wood Pallets and Skids

2451	Mobile Homes
3532	Mining Machinery and Equipment, Except Oil and Gas Field Machinery and Equipment
3533	Oil and Gas Field Machinery and Equipment
3537	Industrial Trucks, Tractors, Trailers, and Stackers
1241	Coal Mining Services
3531	Construction Machinery and Equipment
3541	Machine Tools, Metal Cutting Types
3559	Special Industry Machinery, Not Elsewhere Classified
3561	Pumps and Pumping Equipment
3711	Motor Vehicles and Passenger Car Bodies

Appendix 4: Correlation table

Table 10
Pairwise correlations among the key continuous variables used in the analysis

Variables	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)	(11)	(12)	(13)	(14)	(15)	(16)	(17)	(18)
(1) Deal Premium	1																	
(2) perc_stock	-0.15***	1																
(3) D_Stock	-0.06	0.71***	1															
(4) D-Withdrawn	-0.16***			1														
(5) Firm Size	0.03	-0.27***	-0.18***	0	1													
(6) MBratio	-0.10***	0.03	-0.02	-0.03**	0.08***	1												
(7) Cash	-0.01	0.09***	0.07**	0.05***	-0.35***	0.05***	1											
(8) Leverage	0.01	0.07***	0.06**	0.05***	-0.22***	-0.11***	-0.06***	1										
(9) Public	-0.14***	0.24***	0.15***	0.37***	0.14***	0	0.02*	0.02*	1									
(10) Diversify	0	-0.05**	-0.08***	-0.06***	-0.02	0.04**	0.04***	0.04***	0.02**	1								
(11) ln_DealValue	0.08**	-0.08***	0	0.06***	0.67***	0.09***	-0.21***	0.01	0.16***	0	1							
(12) GDP per Capita	0.06*	-0.03	-0.01	0	-0.07***	-0.02	-0.01	-0.02	-0.05***	-0.04***	0.02	1						
(13) GDP	-0.02	-0.03	-0.05**	0.01	0	0.04**	0.06***	-0.02	0.02***	0.01*	0.04***	0.03***	1					
(14) Interest Rate	-0.09***	0.04*	0.02	0.01	0.02*	0.01	0.02	0	0	0	0	-0.13***	-0.05***	1				
(15) Currency	0.01	-0.04*	-0.04*	0.02**	-0.01	0	-0.02	0.01	-0.01	-0.01*	-0.04***	0.06***	-0.05***	-0.08***	1			
(16) CPI	-0.04	0.06**	0.04*	-0.02***	0.07***	0.03*	0.01	-0.01	-0.08***	0.03***	0.06***	0.21***	-0.09***	-0.06***	0.01	1		
(17) EPU	-0.04	0.06***	0.03	-0.01	0.06***	0.02*	0.04***	-0.01	-0.05***	0.04***	0.02	-0.22***	-0.35***	0.12***	-0.05***	0.36***	1	
(18) QOI	0.07**	0.02	0.01	-0.01*	-0.03***	-0.02*	-0.02	0.01	0.04***	-0.03***	-0.01	0.11***	-0.02***	0.37***	-0.07***	-0.30***	-0.32***	1

Entries are Pearson correlation coefficients (stars denote significance). Variables include deal premium perc_stock, d_stock acquirer ln(Assets), M/B ratio, cash holdings, leverage, D_public, D_Diversify, log-deal value, GDP per capita, GDP growth, interest difference, exchange rate change, Inflation, Economic Policy Uncertainty and, Quality of Institutions. The sample is the full analysis dataset. Standard errors in parentheses *** p<0.01, ** p<0.05, * p<0.1.

Appendix 5: Tariffs on and of the U.S. between 2014-2022

Tariffs Imposed by the U.S.

Target Country	Period effective	Level of tariffs	Products affected
China	March 2018 - Present	25%	Section 232: steel
China	March 2018 - Present	10%	Section 232: aluminum
China	March 2018 - Present	25%	List 1: industrial and electronic goods
China	March 2018 - Present	25%	List 2: List 2: chemicals, machinery, etc
China	March 2018 - Present	10%	List 3: broad range of goods including electronics, machinery
China	September 2019-February 2020	10%	List 4A: e.g. certain foods, plastics
China	September 2019-February 2020	10%	List 4B: consumer goods like electronics, apparel
Europe	March 2018 - November 2022	25%	Section 232: steel
Europe	March 2018 - November 2022	10%	Section 232: aluminum
Europe	October 2019- November 2022	10%	Affected goods include large airplanes (from France, Germany, Spain, UK) and assorted products (agricultural goods, wine, etc)
Mexico	March 2018- May 2019	25%	Section 232: steel
Mexico	March 2018- May 2019	10%	Section 232: aluminum
Canada	March 2018- May 2019	25%	Section 232: steel
Canada	March 2018- May 2019	10%	Section 232: aluminum

Tariffs Imposed on the U.S.

Country Implemented tariffs	Period effective	Level of tariffs	Products affected
China	July 2018 - Present	25%	Stage 1: predominantly agricultural products like soybeans, pork, as well as autos)
China	July 2018 - Present	25%	Stage 2: e.g. cars, chemicals
China	September 2019 - May 2019	10%	Stage 3: key U.S. exports including soybeans, pork, lobsters, aircraft components
China	June 2019- Present	25%	Stage 3: key U.S. exports including soybeans, pork, lobsters, aircraft components
China	September 2019 - December 2019	10%	Stage 4: various U.S. goods including industrial and tech items

Europe	June 2018 - November 2022	25%	bourbon whiskey, peanut butter, motorcycles, boats, orange juice, clothing and textiles
Europe	March 2018 - November 2022	25%	on \$3 Billion U.S. steel and aluminum products
Mexico	June 2018- May 2019	15-25%	pork, apples, potatoes, cheese, Bourbon whiskey, and some steel products
Canada	June 2018- May 2019	25%	Steel products
Canada	June 2018- May 2019	10%	Aluminum products

The tariffs presented above are generalized. In cases where tariff rates fluctuated (e.g., between 5% and 10%), the longest-lasting rate has been reported. Only major and sustained tariffs are included; short-lived or highly specific measures are consolidated under broader categories for clarity. Product groupings reflect the dominant categories affected during the specified periods. All tariff data are sourced from the World Integrated Trade Solution (WITS) database.

Appendix 6: Quarter lagged Results

Table 11
Hypotheses 1-3 Quarter lagged Results

	(1)	(2)	(3)	(4)	(5)	(6)
	OLS (H1)	Logit (H2)		OLS (H3)	Logit (H3)	
VARIABLES	Premium Paid - 4 Weeks Prior to Announcement	D_Withdrawn	Odds Ratio	Perc_Stock	D_Stock	D_Stock Odds Ratio
D_Post	8.019 (7.738)	-0.0557 (0.264)	0.946	-8.190 (7.688)	-0.777 (0.591)	0.460
D_Cross-Border	7.551** (3.611)	-1.591*** (0.244)	0.204***	4.439 (2.972)	-0.309 (0.407)	0.734
Post × Cross-Border	-17.92*** (5.037)	0.686** (0.336)	1.985**	31.23*** (5.680)	1.418*** (0.536)	4.130***
Firm Size	0.0930 (0.655)	0.0376 (0.0260)	1.038	-6.269*** (0.617)	- (0.0609)	0.648***
MBratio	-0.0481 (0.174)	-0.00842 (0.00821)	0.992	-0.213 (0.237)	-0.0220 (0.0193)	0.978
Cash	-2.169 (8.837)	0.606* (0.343)	1.833*	-8.751 (7.940)	-0.749 (0.739)	0.473
Leverage	-2.506 (4.058)	0.213 (0.135)	1.237	-2.532 (4.291)	-0.590 (0.375)	0.554
D_Public	22.36*** (3.756)	0.804 (0.585)	2.234	-0.748 (15.29)	-1.230 (0.903)	0.292
D_Diversify	1.034 (2.246)	-1.113*** (0.101)	0.329***	-3.513 (2.206)	- (0.256)	0.434***
ln_DealValue	0.576 (0.709)	0.00384 (0.0272)	1.004	4.017*** (0.780)	0.347*** (0.0698)	1.414***
Year Fixed Effects	Yes	Yes	Yes	Yes	Yes	Yes
Constant	-1.441 (8.740)	-1.444** (0.628)	0.236**	45.22*** (16.55)	0.204 (1.077)	1.226
Observations	379	2,466	2,466	923	923	923
R-squared	0.164			0.222		

Table 11 reports deal premium, withdrawal rate, and payment method with one-quarter lagged tariffs for M&A deals made by U.S. manufacturing firms. The regressions restrict the sample to deals in which the U.S. is the acquiror country, and Canada, China, Europe, and Mexico are the targets. Specifications (1) and (4) report OLS regressions for premium paid (H1) and stock usage as percentage (H3), respectively. Specifications (2) and (5) use binary logistic regression models for the likelihood of deal withdrawal (H2) and whether stock financing is used (H3), with specifications (3) and (6) reporting the corresponding odds ratios. Standard errors in parentheses *** p<0.01, ** p<0.05, * p<0.1.

Table 12

Hypotheses 4 Quarter lagged results

VARIABLES	(1)	(2)	
	Poisson regression	Negative Binomial regression	
	Coef.	Coef.	IRR
D_Post	-0.191*** (0.0410)	-0.224*** (0.0813)	0.799***
<i>TargetNation</i>			
Canada	-2.703*** (0.156)	-2.710*** (0.266)	0.0666***
China	-6.291*** (1.144)	-6.433*** (1.872)	0.00161***
Europe	-1.937*** (0.327)	-1.933*** (0.533)	0.145***
Mexico	-6.406*** (1.024)	-6.432*** (1.664)	0.00161***
<i>Interaction effects</i>			
Post × Canada	0.0443 (0.148)	0.0482 (0.170)	1.049
Post × China	0.343 (0.272)	0.263 (0.329)	1.301
Post × Europe	0.302*** (0.0612)	0.310*** (0.0875)	1.364***
Post × Mexico	0.0591 (0.420)	0.0804 (0.430)	1.084
(mean) GDP_per_capita	0.176 (0.520)	0.196 (0.847)	1.217
(mean) GDP	0.0332*** (0.00644)	0.0441*** (0.0104)	1.045***
(mean) Interest Rate	-0.0477 (0.0296)	-0.0531 (0.0367)	0.948
(mean) Currency	-0.0335** (0.0162)	-0.0283 (0.0192)	0.972
(mean) CPI	0.00235 (0.00228)	0.00219 (0.00393)	1.002
(mean) EPU	-0.000146 (0.000227)	0.000190 (0.000353)	1.000
(mean) QOI	-0.794*** (0.202)	-0.836** (0.377)	0.434**
Constant	4.656 (5.628)	4.430 (9.200)	83.90
Observations	152	152	152

Table 12 reports count-data regressions examining whether the number of outbound M&A deals made by U.S. manufacturing firms, decreased post-tariff, consistent with investment deterrence hypotheses. The regressions restrict the sample to deals in which the U.S. is the acquiror country, and compare deal volumes across four country groups: Canada, China, Europe, and Mexico. Column (1) presents Poisson regression coefficients; Columns (2) and (3) display Negative Binomial regression results and corresponding Incidence Rate Ratios (IRRs), respectively. Standard errors in parentheses *** p<0.01, ** p<0.05, * p<0.1.

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